

Hilltops Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the period 13 May 2016 to 30 June 2017



Hilltops Council

General Purpose Financial Statements

for the period 13 May 2016 to 30 June 2017

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Overview

(i) These financial statements are General Purpose Financial Statements and cover the consolidated operations for Hilltops Council.

(ii) Hilltops Council is a body politic of NSW, Australia – being constituted as a local government area by proclamation and is duly empowered by the *Local Government Act 1993* (LGA).

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note 2(b).

(iii) All figures presented in these financial statements are presented in Australian currency.

(iv) These financial statements were authorised for issue by the Council on 29 November 2017. Council has the power to amend and reissue these financial statements.

Hilltops Council

General Purpose Financial Statements

for the period 13 May 2016 to 30 June 2017

Understanding Council's financial statements

Introduction

Each year, individual local governments across New South Wales are required to present a set of audited financial statements to their council and community.

What you will find in the statements

The financial statements set out the financial performance, financial position and cash flows of Council for the period 13 May 2016 to 30 June 2017.

The format of the financial statements is standard across all NSW Councils and complies with both the accounting and reporting requirements of Australian Accounting Standards and requirements as set down by the Office of Local Government.

About the Councillor/Management Statement

The financial statements must be certified by senior staff as 'presenting fairly' the Council's financial results for the year and are required to be adopted by Council – ensuring both responsibility for and ownership of the financial statements.

About the primary financial statements

The financial statements incorporate five 'primary' financial statements:

1. The Income Statement

Summarises Council's financial performance for the year, listing all income and expenses.

This statement also displays Council's original adopted budget to provide a comparison between what was projected and what actually occurred.

2. The Statement of Comprehensive Income

Primarily records changes in the fair value of Council's Infrastructure, Property, Plant and Equipment.

3. The Statement of Financial Position

A 30 June snapshot of Council's financial position indicating its assets, liabilities and "net wealth".

4. The Statement of Changes in Equity

The overall change for the year (in dollars) of Council's "net wealth".

5. The Statement of Cash Flows

Indicates where Council's cash came from and where it was spent. This statement also displays Council's original adopted budget to provide a comparison between what was projected and what actually occurred.

About the Notes to the Financial Statements

The Notes to the Financial Statements provide greater detail and additional information on the five primary financial statements.

About the Auditor's Reports

Council's annual financial statements are required to be audited by the NSW Audit Office. In NSW the auditor provides 2 audit reports:

1. an opinion on whether the financial statements present fairly the Council's financial performance and position, and
2. their observations on the conduct of the audit, including commentary on the Council's financial performance and financial position.

Who uses the financial statements?

The financial statements are publicly available documents and must be presented at a Council meeting between seven days and five weeks after the date of the Audit Report.

The public can make submissions to Council up to seven days subsequent to the public presentation of the financial statements.

Council is required to forward an audited set of financial statements to the Office of Local Government.

Hilltops Council

General Purpose Financial Statements

for the period 13 May 2016 to 30 June 2017

Statement by Councillors and Management

made pursuant to Section 413(2)(c) of the *Local Government Act 1993 (NSW)* (as amended)

The attached General Purpose Financial Statements have been prepared in accordance with:

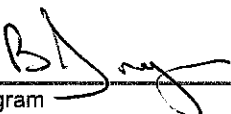
- the *Local Government Act 1993 (NSW)* (as amended) and the regulations made thereunder,
- the Australian Accounting Standards and professional pronouncements, and
- the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these financial statements:

- present fairly the Council's operating result and financial position for the period 13 May 2016 to 30 June 2017, and
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

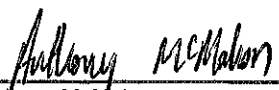
Signed in accordance with a resolution of Council made on 25 October 2017.



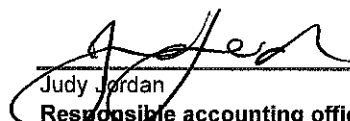
Brian Ingram
Mayor



Tony Wallace
Councillor



Anthony McMahon
General Manager



Judy Jordan
Responsible accounting officer

Hilltops Council

Income Statement

for the period 13 May 2016 to 30 June 2017

\$ '000	Notes	Actual 13/5/16 to 30/6/17
Income from continuing operations		
Revenue:		
Rates and annual charges	3a	20,913
User charges and fees	3b	14,055
Interest and investment revenue	3c	1,754
Other revenues	3d	1,141
Grants and contributions provided for operating purposes	3e,f	28,309
Grants and contributions provided for capital purposes	3e,f	18,742
Other income:		
Net gains from the disposal of assets	5	469
Net share of interests in joint ventures and associates using the equity method	19	—
Total income from continuing operations		85,383
Expenses from continuing operations		
Employee benefits and on-costs	4a	19,852
Borrowing costs	4b	6,318
Materials and contracts	4c	19,802
Depreciation and amortisation	4d	15,959
Impairment	4d	2,079
Other expenses	4e	19,606
Total expenses from continuing operations		83,616
Operating result from continuing operations		1,767
Discontinued operations		
Net profit/(loss) from discontinued operations	24	—
Net operating result for the period		1,767
Gain on local government amalgamation		
Assets and liabilities transferred from former councils	29	566,681
Net result for the period		568,448
Net operating result attributable to Council		568,448
Net operating result attributable to non-controlling interests		—
Net operating result for the period before grants and contributions provided for capital purposes		(16,975)

Hilltops Council

Statement of Comprehensive Income for the period 13 May 2016 to 30 June 2017

\$ '000	Notes	Actual 13/5/16 to 30/6/17
Net result for the year (as per Income Statement)		568,448
Other comprehensive income:		
Amounts which will not be reclassified subsequently to the operating result Nil		
Amounts which will be reclassified subsequently to the operating result when specific conditions are met Nil		
Total other comprehensive income for the period		–
Total comprehensive income for the period		568,448
Total comprehensive income attributable to Council		568,448
Total comprehensive income attributable to non-controlling interests		–

Hilltops Council

Statement of Financial Position as at 30 June 2017

		Actual
\$ '000	Notes	2017
ASSETS		
Current assets		
Cash and cash equivalents	6a	13,542
Investments	6b	41,453
Receivables	7	9,532
Inventories	8	725
Other	8	73
Non-current assets classified as 'held for sale'	22	—
Total current assets		65,325
Non-current assets		
Investments	6b	—
Receivables	7	—
Inventories	8	—
Infrastructure, property, plant and equipment	9	539,522
Investments accounted for using the equity method	19	—
Investment property	14	—
Intangible assets	25	—
Other	8	—
Total non-current assets		539,522
TOTAL ASSETS		604,847
LIABILITIES		
Current liabilities		
Payables	10	3,345
Income received in advance	10	477
Borrowings	10	1,572
Provisions	10	6,467
Total current liabilities		11,861
Non-current liabilities		
Payables	10	111
Income received in advance	10	—
Borrowings	10	17,421
Provisions	10	7,006
Total non-current liabilities		24,538
TOTAL LIABILITIES		36,399
Net assets		568,448
EQUITY		
Retained earnings	20	568,448
Revaluation reserves	20	—
Total equity		568,448

This statement should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Changes in Equity

for the period 13 May 2016 to 30 June 2017

13/5/16 to 30/6/17

\$ '000	Notes	Retained earnings	Asset revaluation reserve (Refer 20b)	Other reserves (Refer 20b)	Council interest	Non-controlling interest	Total equity
Opening balance				–	–	–	–
a. Correction of prior period errors	20 (c)	–	–	–	–	–	–
b. Changes in accounting policies (prior year effects)	20 (d)	–	–	–	–	–	–
Revised opening balance		–	–	–	–	–	–
c. Net result for the year		568,448	–	–	568,448	–	568,448
d. Other comprehensive income Nil							
Total comprehensive income (c&d)		568,448	–	–	568,448	–	568,448
e. Distributions to/(contributions from) non-controlling interests		–	–	–	–	–	–
f. Transfers between equity		–	–	–	–	–	–
Equity – balance at end of the reporting period		568,448	–	–	568,448	–	568,448

Hilltops Council

Statement of Cash Flows

for the period 13 May 2016 to 30 June 2017

\$ '000	Notes	Actual 13/5/16 to 30/6/17
Cash flows from operating activities		
Receipts:		
Rates and annual charges		23,581
User charges and fees		16,669
Investment and interest revenue received		1,618
Grants and contributions		46,114
Other		4,259
Payments:		
Employee benefits and on-costs		(20,169)
Materials and contracts		(23,424)
Borrowing costs		(1,263)
Other		(7,187)
Net cash provided (or used in) operating activities	11b	40,198
Cash flows from investing activities		
Receipts:		
Sale of infrastructure, property, plant and equipment		1,238
Deferred debtors receipts		91
Payments:		
Purchase of investment securities		(15,955)
Purchase of infrastructure, property, plant and equipment		(22,511)
Net cash provided (or used in) investing activities		(37,137)
Cash flows from financing activities		
Receipts:		
Proceeds from borrowings and advances		3,800
Payments:		
Repayment of borrowings and advances		(2,428)
Net cash flow provided (used in) financing activities		1,372
Net increase/(decrease) in cash and cash equivalents		4,433
Plus: cash transferred on amalgamation of councils	29	9,109
Cash and cash equivalents – end of the year	11a	13,542
Additional Information:		
plus: Investments on hand – end of year	6b	41,453
Total cash, cash equivalents and investments		54,995

Please refer to Note 11 for information on the following:

- Non-cash financing and investing activities
- Financing arrangements
- Net cash flow disclosures relating to any discontinued operations

This statement should be read in conjunction with the accompanying notes.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

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n/a – not applicable

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

(a) Basis of preparation

The Local Government (Council Amalgamations) Proclamation 2016 ('the Proclamation') under the Local Government Act 1993 (NSW) transferred the assets and liabilities of 3 former councils:

- Boorowa Council
- Harden Shire Council
- Young Shire Council

to Hilltops Council as at 12 May 2016.

Pursuant to the Proclamation, financial statements have been prepared for the period commencing on the date of establishment of Hilltops Council, being 13 May 2016 and ending on 30 June 2017.

Future reporting periods will be from 1 July to 30 June of the relevant years.

Assets and liabilities of Boorowa, Harden and Young have been recognised by the Hilltops Council at the carrying amount recorded by the former council.

Hilltops Council believes the carrying amounts are not materially different from their fair values as at the date of transfer 12 May 2016.

The fair value of the net assets has been shown as a gain on local government amalgamation in the income statement and further information is provided in Note 29.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the Local Government Act 1993 (NSW) and Regulations, and the Local Government Code of Accounting Practice and Financial Reporting. Council is a not for-profit entity for the purpose of preparing these financial statements.

(i) New and amended standards adopted by Council

There have been no new accounting standards adopted in this year's financial statements which have had any material impact on reported financial position, performance or cash flows.

(ii) Early adoption of standards

Council has not elected to apply any pronouncements before their operative date in the annual reporting period beginning 13 May 2016.

(iii) Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain financial assets and liabilities and certain classes of property, plant and equipment and investment property.

(iv) Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- (i) Estimated fair values of infrastructure, property, plant and equipment,
- (ii) Estimated tip remediation provisions.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies (continued)

Significant judgements in applying the Council's accounting policies

Impairment of Receivables

Council has made a significant judgement about the impairment of a number of its receivables in Note 7.

(b) Revenue recognition

Council recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the Council and specific criteria have been met for each of the Council's activities as described below.

Council bases its estimates on historical results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

Revenue is measured at the fair value of the consideration received or receivable. Revenue is measured on major income categories as follows:

(i) Rates, annual charges, grants and contributions

Rates, annual charges, grants and contributions (including developer contributions) are recognised as revenue when the Council obtains control over the assets comprising these receipts. Developer contributions may only be expended for the purposes for which the contributions were required, but the Council may apply contributions according to the priorities established in work schedules.

Control over assets acquired from rates and annual charges is obtained at the commencement of the rating year as it is an enforceable debt linked to the rateable property or, where earlier, upon receipt of the rates.

Control over granted assets/contributed assets is normally obtained upon their receipt (or acquittal) or upon earlier notification that a grant has been secured, and is valued at their fair value at the date of transfer.

Where grants or contributions recognised as revenues during the financial year were obtained on condition that they be expended in a particular manner or used over a particular period and those conditions were un-discharged at reporting date, the unused grant or contribution is disclosed in Note

3(g). The note also discloses the amount of unused grant or contribution from prior years that was expended on Council's operations during the current year.

A liability is recognised in respect of revenue that is reciprocal in nature to the extent that the requisite service has not been provided at reporting date.

(ii) User charges and fees

User charges and fees (including parking fees and fines) are recognised as revenue when the service has been provided or when the penalty has been applied, whichever first occurs.

(iii) Sale of infrastructure, property, plant and equipment

The profit or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer.

(iv) Interest

Interest income is recognised using the effective interest rate at the date that interest is earned.

(v) Rent

Rental income is accounted for on a straight-line basis over the lease term.

(vi) Dividend income

Revenue is recognised when the Council's right to receive the payment is established, which is generally when shareholders approve the dividend.

(vii) Other income

Other income is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

(c) Principles of consolidation

(i) The Consolidated Fund

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies (continued)

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

- Sec 355 Committees of Council
- South West Regional Waste Management Group
- South West Rural Fire Service.

(ii) The Trust Fund

In accordance with the provisions of Section 411 of the Local Government Act 1993 (NSW) (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the Council in trust which must be applied only for the purposes of, or in accordance with the trusts relating to those monies. Trust monies and property subject to Council's control have been included in these reports.

Trust monies and property held by Council but not subject to the control of Council have been excluded from these reports. A separate statement of monies held in the Trust Fund is available for inspection at the Council office by any person free of charge.

(iii) County Councils

Council is a member of the following county councils (which are bodies incorporated under the *Local Government Act*):

- **Southern Slopes County Council**
Control of Noxious Weeds – Hilltops and Yass Council are the constituent Councils
- **Goldenfields County Council**
Provision of Water to Harden and Young

The governing body of each county council is responsible for managing its own affairs.

Council is of the opinion that it neither controls nor significantly influences the above county council/s and accordingly these entities have not been consolidated or otherwise included within these financial statements.

(iv) Interests in other entities

Subsidiaries

Council has no interest in any subsidiaries.

Joint arrangements

Council has no interest in any joint arrangements.

(d) Leases

Leases of property, plant and equipment where Council, as lessee, has substantially all the risks and rewards of ownership are classified as finance leases.

Finance leases are capitalised at the lease's inception at the fair value of the leased property or, if lower, the present value of the minimum lease payments. The corresponding rental obligations, net of finance charges, are included in other short-term and long-term payables. Each lease payment is allocated between the liability and finance cost. The finance cost is charged to the income statement over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The property, plant and equipment acquired under finance leases is depreciated over the asset's useful life or over the shorter of the asset's useful life and the lease term if there is no reasonable certainty that Council will obtain ownership at the end of the lease term.

Leases in which a significant portion of the risks and rewards of ownership are not transferred to Council as lessee are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

Lease income from operating leases where Council is a lessor is recognised as income on a straight-line basis over the lease term.

(e) Impairment of assets

Intangible assets that have an indefinite useful life or are not yet available for use are not subject to amortisation and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired.

Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies (continued)

impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets that suffered an impairment are reviewed for possible reversal of the impairment at each reporting date.

(f) Cash and cash equivalents

For Statement of Cash Flow presentation purposes, cash and cash equivalents includes cash on hand; deposits held at call with financial institutions; other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value; and bank overdrafts.

Bank overdrafts are shown within borrowings in current liabilities on the Statement of Financial Position.

(g) Inventories

(i) Raw materials and stores, work in progress and finished goods

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value.

Cost comprises direct materials, direct labour, and an appropriate proportion of variable and fixed overhead expenditure, the latter being allocated on the basis of normal operating capacity. Costs are assigned to individual items of inventory on basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

(ii) Inventory held for distribution

Inventory held for distribution is held at cost, adjusted where applicable for any loss of service potential.

(iii) Land held for resale/capitalisation of borrowing costs

Land held for resale is stated at the lower of cost and net realisable value. Cost is assigned by specific identification and includes the cost of acquisition, and development and borrowing costs during development. When development is completed borrowing costs and other holding charges are expensed as incurred.

Borrowing costs included in the cost of land held for resale are those costs that would have been avoided if the expenditure on the acquisition and development of the land had not been made. Borrowing costs incurred while active development is interrupted for extended periods are recognised as expenses.

(h) Non-current assets (or disposal groups) held for sale and discontinued operations

Non-current assets (or disposal groups) are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use.

They are measured at the lower of their carrying amount and fair value less costs to sell, except for assets such as deferred tax assets; assets arising from employee benefits; financial assets; and investment properties that are carried at fair value and contractual rights under insurance contracts, which are specifically exempt from this requirement.

An impairment loss is recognised for any initial or subsequent write-down of the asset (or disposal group) to fair value less costs to sell. A gain is recognised for any subsequent increases in fair value less costs to sell of an asset (or disposal group), but not in excess of any cumulative impairment loss previously recognised. A gain or loss not previously recognised by the date of the sale of the non-current asset (or disposal group) is recognised at the date of de-recognition.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies (continued)

Non-current assets (including those that are part of a disposal group) are not depreciated or amortised while they are classified as held for sale. Interest and other expenses attributable to the liabilities of a disposal group classified as held for sale continue to be recognised.

(i) Investments and other financial assets

Classification

Council classifies its financial assets in the following categories: financial assets at fair value through profit or loss; loans and receivables; held-to-maturity investments; and available-for-sale financial assets.

The classification depends on the purpose for which the investments were acquired. Management determines the classification of its investments at initial recognition and, in the case of assets classified as held-to-maturity, re-evaluates this designation at each reporting date.

(i) Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss are financial assets held for trading. A financial asset is classified in this category if acquired principally for the purpose of selling in the short-term. Assets in this category are classified as current assets.

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are included in current assets, except for those with maturities greater than 12 months after the reporting date which that are classified as non-current assets.

Loans and receivables are included in other receivables (note 8) and receivables (note 7) in the Statement of Financial Position.

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Cash flows relating to short-term receivables are not discounted if the effect of discounting is immaterial.

(iii) Held-to-maturity investments

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that Council's management has the positive intention and ability to hold to maturity. If Council were to sell other than an insignificant amount of held-to-maturity financial assets, the whole category would be tainted and reclassified as available-for-sale.

Held-to-maturity financial assets are included in non-current assets, except for those with maturities less than 12 months from the reporting date, that are classified as current assets.

(iv) Available-for-sale financial assets

Available-for-sale financial assets are non-derivatives that are either designated in this category or not classified in any of the other categories. They are included in non-current assets unless management intends to dispose of the investment within 12 months of the reporting date.

Investments are designated as available-for-sale if they do not have fixed maturities and fixed or determinable payments and management intends to hold them for the medium to long term.

Recognition and de-recognition

Regular purchases and sales of financial assets are recognised on trade-date: the date on which Council commits to purchase or sell the asset.

Investments are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets carried at fair value through profit or loss are initially recognised at fair value and transaction costs are expensed in the income statement.

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and Council has transferred substantially all the risks and rewards of ownership.

When securities classified as available-for-sale are sold, the accumulated fair value adjustments recognised in equity are included in the income statement as gains and losses from investment securities.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies (continued)

Subsequent measurement

Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method.

Changes in the fair value of other monetary and non-monetary securities classified as available-for-sale are recognised in equity.

Impairment

Council assesses at the end of each reporting period whether there is objective evidence that a financial asset or group of financial assets is impaired.

A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

In the case of equity investments classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is considered an indicator that the assets are impaired.

(i) Assets carried at amortised cost

For loans and receivables the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate.

The carrying amount of the asset is reduced and the amount of the loss is recognised in profit or loss. If a loan or held-to-maturity investment has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract. As a practical expedient, the Council may measure impairment on the basis of an instrument's fair value using an observable market price.

Collectability of receivables is reviewed on an on-going basis. Debts that are known to be uncollectible are written off by reducing the carrying amount directly. An allowance account (provision for impairment of receivables) is used when there is

objective evidence that Council will not be able to collect all amounts due according to the original terms of the receivables.

Significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 30 days overdue) are considered indicators that the receivable is impaired. The amount of the impairment allowance is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate.

The amount of the impairment loss is recognised in the income statement within other expenses. When a receivable for which an impairment allowance had been recognised becomes uncollectible in a subsequent period it is written off against the allowance account. Subsequent recoveries of amounts previously written off are credited against other expenses in the income statement.

Investment Policy

Council has an approved investment policy complying with Section 625 of the Local Government Act 1993 (NSW) and Clause 212 of the Local Government (General) Regulation 2005 (NSW).

Investments are placed and managed in accordance with that policy and having particular regard to authorised investments prescribed under the Ministerial Local Government Investment Order. Council maintains an investment policy that complies with the Act and ensures that it, or its representatives, exercise the care, diligence and skill that a prudent person would exercise in investing Council funds.

Council amended its policy following revisions to the Ministerial Local Government Investment Order (the Order) arising from the Cole Inquiry recommendations. Certain investments the Council holds are no longer prescribed; however, they have been retained under grandfathering provisions of the Order. These will be disposed of when most financially advantageous to Council.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies (continued)

(j) Fair value estimation – financial instruments

The fair value of financial assets and financial liabilities must be estimated for recognition and measurement or for disclosure purposes.

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date.

The fair value of financial instruments that are not traded in an active market is determined using valuation techniques. Council uses a variety of methods and makes assumptions that are based on market conditions existing at each reporting date. Other techniques, such as estimated discounted cash flows, are used to determine fair value for the remaining financial instruments.

The nominal value less estimated credit adjustments of trade receivables and payables are assumed to approximate their fair values. The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Council for similar financial instruments.

(k) Infrastructure, property, plant and equipment (IPPE)

Council's assets have been progressively revalued to fair value in accordance with a staged implementation advised by the Office of Local Government. At reporting date, the following classes of IPPE were stated at their fair value:

Externally valued:

- Operational land
- Community land (Harden Area Only)
- Land improvements (Harden Area Only)
- Buildings – specialised/non-specialised
- Roads assets including roads, bridges and footpaths (Harden Area Only)
- Bulk earthworks (Harden Area Only)
- Stormwater drainage (Harden Area Only)
- Swimming pools (Harden Area Only)
- Other open space/recreational assets (Harden Area Only)

Internally valued:

- Community land (Boorowa and Young Area Only)
- Land improvements
- Other structures
- Roads assets including roads, bridges and footpaths (Boorowa and Young Area Only)
- Bulk earthworks (Boorowa and Young Area Only)
- Stormwater drainage (Boorowa and Young Area Only)
- Water and sewerage networks
- Swimming pools (Boorowa and Young Area Only)
- Other open space/recreational assets (Boorowa and Young Area Only)

As approximated by depreciated historical cost:

- Plant and equipment
- Land improvements (Boorowa Area only)

Non-specialised assets with short useful lives are measured at depreciated historical cost as an approximation of fair value. Council has assessed that any difference between fair value and depreciated historical cost is unlikely to be material.

Water and sewerage network assets are indexed annually between full revaluations in accordance with the latest indices provided in the NSW Office of Water Rates Reference Manual.

For all other asset classes, Council assesses at each reporting date whether there is any indication that a revalued asset's carrying amount may differ materially from that which would be determined if the asset were revalued at the reporting date. If any such indication exists, Council determines the asset's fair value and revalue the asset to that amount. Full revaluations are undertaken for all assets on a five-year cycle.

Increases in the carrying amounts arising on revaluation are credited to the asset revaluation reserve. To the extent that the increase reverses a decrease previously recognising profit or loss relating to that asset class, the increase is first recognised as profit or loss.

Decreases that reverse previous increases of assets in the same class are first charged against revaluation reserves directly in equity to the extent of

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies (continued)

the remaining reserve attributable to the class; all other decreases are charged to the Income Statement.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Depreciation

Land is not depreciated.

Depreciation on other assets is calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives as follows:

Plant and equipment

- Office equipment	5 to 10 years
- Office furniture	3 to 20 years
- Computer equipment	4 years
- Vehicles	5 to 10 years
- Heavy plant/road making equipment	5 to 10 years
- Other plant and equipment	5 to 25 years

Other equipment

- Playground equipment	5 to 15 years
- Benches, seats etc.	5 to 20 years

Buildings

- Buildings: masonry	50 to 100 years
- Buildings: other	20 to 40 years

Water and sewer assets

- Dams and reservoirs	80 to 100 years
- Bores	20 to 80 years
- Reticulation pipes: PVC	70-80 years
- Reticulation pipes: other	25 to 75 years
- Pumps and telemetry	15 to 20 years

Stormwater assets

- Drains	80 to 100 years
- Culverts	50 to 150 years
- Flood control structures	80 to 100 years

Transportation assets

- Sealed roads: surface	10-50 years
- Sealed roads: structure	50-150 years
- Unsealed roads	7-20 years
- Bridge: concrete	80- 100 years
- Bridge: other	50 – 100 years

- Road pavements	90 - 100 years
- Kerb, gutter and footpaths	15 - 100 years

Other infrastructure assets

- Bulk earthworks	Infinite
- Swimming pools	25 - 60 years
- Other open space/ recreational assets	15 - 100 years
- Other infrastructure	7 - 50 years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in the income statement.

(I) Investment property

Investment property, principally comprising freehold office buildings, is held for long-term rental yields and is not occupied by the Council.

Investment property is carried at fair value, which is based on active market prices, adjusted, if necessary, for any difference in the nature, location or condition of the specific asset. If this information is not available, Council uses alternative valuation methods such as recent prices in less active markets, or discounted cash flow projections. Changes in fair values are recorded in the income statement as part of other income.

Properties that are under construction for future use as investment properties are regarded as investment properties. These are also carried at fair value unless the fair value cannot yet be reliably determined. Where that is the case, the property will be accounted for at cost until either the fair value becomes reliably determinable or construction is complete.

(m) Payables

These amounts represent liabilities for goods and services provided to the Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies (continued)

(n) Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in the income statement over the period of the borrowings using the effective interest method.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Borrowings are removed from the Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in other income or finance cost.

Borrowings are classified as current liabilities unless Council has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

(o) Borrowing costs

Borrowing costs incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed.

(p) Provisions

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as interest expense.

(q) Employee benefits

(i) Short-term obligations

Liabilities for wages and salaries, including non-monetary benefits, annual leave and accumulating sick leave expected to be wholly settled within 12 months after the end of the period in which the employees render the related service are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled.

The liability for annual leave and accumulating sick leave is recognised in the provision for employee benefits. All other short-term employee benefit obligations are presented as payables.

(ii) Other long-term employee benefit obligations

The liability for long service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method.

Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies (continued)

terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

The obligations are presented as current liabilities in the Statement of Financial Position if the Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur.

(iii) Retirement benefit obligations

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Defined Benefit Plans

A liability or asset in respect of defined benefit superannuation plans would ordinarily be recognised in the Statement of Financial Position, and measured as the present value of the defined benefit obligation at the reporting date plus unrecognised actuarial gains (less unrecognised actuarial losses) less the fair value of the superannuation fund's assets at that date and any unrecognised past service cost.

The present value of the defined benefit obligation is based on expected future payments that arise from membership of the fund to the reporting date, calculated annually by independent actuaries using the projected unit credit method.

Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. However, when this information is not reliably available, Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable.

Defined Contribution Plans

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

(r) Land under roads

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 – Property, Plant and Equipment.

Land under roads is land under roadways and road reserves including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 1051 Land Under Roads.

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 Property, Plant and Equipment.

(s) Self-insurance

Council does not self-insure.

(t) Intangible assets

Council has not classified any assets as intangible.

(u) Crown reserves

Crown Reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown Reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

(v) Rural fire service assets

Under section 119 of the Rural Fire Services Act 1997 (NSW), "all fire fighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed".

Until such time as discussions on this matter have concluded and the legislation changed, Council will

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 1. Summary of significant accounting policies (continued)

recognise rural fire service assets including land and buildings, but will not recognise plant and vehicles.

(w) Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities which that are recoverable from, or payable to the taxation authority are presented as operating cash flows.

(x) New accounting standards and interpretations issued not yet effective

Certain new accounting standards and interpretations have been published that are not mandatory for the current reporting period and which have not been applied.

Council does not consider that these standards are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows

(y) Rounding of amounts

Unless otherwise indicated, amounts in the financial statements have been rounded off to the nearest thousand dollars.

(z) Disclaimer

Nothing contained within these statements may be taken to be an admission of any liability to any person under any circumstance.

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 2(a). Council functions/activities – financial information

Functions/activities	Income, expenses and assets have been directly attributed to the following functions/activities. Details of these functions/activities are provided in Note 2(b).				
	Income from continuing operations	Expenses from continuing operations	Operating result from continuing operations	Grants included in income from continuing operations	Total assets held (current & non-current)
	Actual 13/5/16 to 30/6/17	Actual 13/5/16 to 30/6/17	Actual 13/5/16 to 30/6/17	Actual 13/5/16 to 30/6/17	Actual 13/5/16 to 30/6/17
Governance	–	1,129	(1,129)	19,952	–
Administration	21,703	6,740	14,963	194	60,437
Public order and safety	771	1,449	(678)	635	1,539
Health	99	475	(376)	3	9
Environment	5,723	11,625	(5,902)	–	6,336
Community services and education	16	283	(267)	4	3,054
Housing and community amenities	1,152	2,122	(970)	788	1,222
Water supplies	7,929	8,587	(658)	83	51,571
Sewerage services	4,262	16,816	(12,554)	64	50,040
Recreation and culture	1,814	5,869	(4,055)	877	21,185
Mining, manufacturing and construction	483	565	(82)	–	49
Transport and communication	9,621	20,549	(10,928)	6,842	403,021
Economic affairs	7,244	7,407	(163)	52	6,384
Total functions and activities	60,817	83,616	(22,799)	29,494	604,847
Share of gains/(losses) in associates and joint ventures (using the equity method)	–	–	–	–	–
General purpose income ¹	24,566	–	24,566	11,333	–
Operating result from continuing operations	85,383	83,616	1,767	40,827	604,847

1. Includes: rates and annual charges (incl. ex-gratia), untied general purpose grants and unrestricted interest and investment income.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 2(b). Council functions/activities – component descriptions

Details relating to the Council's functions/activities as reported in Note 2(a) are as follows:

GOVERNANCE

Includes costs relating to Council's role as a component of democratic government, including elections, members' fees and expenses, subscriptions to local authority associations, meetings of Council and policy-making committees, public disclosure (e.g. GIPA), and legislative compliance.

ADMINISTRATION

Includes corporate support and other support services, engineering works, and any Council policy compliance.

PUBLIC ORDER AND SAFETY

Includes Council's fire and emergency services levy, fire protection, emergency services, beach control, enforcement of regulations and animal control.

HEALTH

Includes immunisation, food control, health centres etc.

ENVIRONMENT

Includes noxious plants and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

COMMUNITY SERVICES AND EDUCATION

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; children's services, including family day care; child care; and other family and children services.

HOUSING AND COMMUNITY AMENITIES

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

WATER SUPPLIES

SEWERAGE SERVICES

RECREATION AND CULTURE

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; lakes; and other sporting, recreational and cultural services.

MINING, MANUFACTURING AND CONSTRUCTION

Includes building control, quarries and pits, mineral resources, and abattoirs.

TRANSPORT AND COMMUNICATION

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

ECONOMIC AFFAIRS

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; sale yards and markets; real estate development; commercial nurseries; and other business undertakings.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 3. Income from continuing operations

\$ '000	Notes	Actual 13/5/16 to 30/6/17
(a) Rates and annual charges		
Ordinary rates		
Residential		4,244
Farmland		6,200
Mining		19
Business		1,519
Total ordinary rates		11,982
Special rates		
Stormwater levy		16
Total special rates		16
Annual charges (pursuant to s.496, s.496A, s.496B, s.501 & s.611)		
Domestic waste management services		1,589
Stormwater management services		99
Water supply services		2,569
Sewerage services		3,970
Waste management services (non-domestic)		299
Section 611 charges		10
Recycling		184
Greenwaste		187
Other		8
Total annual charges		8,915
TOTAL RATES AND ANNUAL CHARGES		20,913

Council has used the following year valuation provided by the NSW Valuer General in calculating its rates

- Former Boorowa Council area – 2015
- Former Harden Shire Council area – 2014
- Former Young Shire Council area – 2013

(b) User charges and fees

Specific user charges (per s.502 – specific 'actual use' charges)

Water supply services	4,519
Sewerage services	3
Waste management services (non-domestic)	45
Other	2
Total user charges	4,569

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 3. Income from continuing operations (continued)

		Actual 13/5/16 to 30/6/17
\$ '000	Notes	
(b) User charges and fees		
Other user charges and fees		
(i) Fees and charges – statutory and regulatory functions (per s.608)		
Building regulation		102
Inspection services		32
Planning and building regulation		123
Private works – section 67		401
Regulatory/ statutory fees		405
Regulatory fees		24
Section 149 certificates (EPA Act)		21
Section 603 certificates		19
Tapping fees		35
Town planning		52
Animal		11
Environment protection		1
Total fees and charges – statutory/regulatory		1,226
(ii) Fees and charges – other (incl. general user charges (per s.608))		
Caravan park		218
Cemeteries		275
Gravel pits		3
Lease rentals		389
Leaseback fees – Council vehicles		77
Library and art gallery		20
Park rents		22
Recycling income (non-domestic)		9
RMS (formerly RTA) charges (state roads not controlled by Council)		5,902
Swimming centres		91
Tourism		29
Waste disposal tipping fees		1,056
Water connection fees		3
Truckwash		16
Water plan fees		13
Septic tank fees		3
Sewer plan fees		7
Sewer connection fees		2
Cemetery interment		33
Other		92
Total fees and charges – other		8,260
TOTAL USER CHARGES AND FEES		14,055

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 3. Income from continuing operations (continued)

		Actual 13/5/16 to 30/6/17
\$ '000	Notes	
(c) Interest and investment revenue (including losses)		
Interest		
– Interest on overdue rates and annual charges (incl. special purpose rates)		124
– Interest earned on investments (interest and coupon payment income)		1,611
– Interest on deferred debtors		1
– Interest (other)		18
<u>TOTAL INTEREST AND INVESTMENT REVENUE</u>		<u>1,754</u>
Interest revenue is attributable to:		
Unrestricted investments/financial assets:		
Overdue rates and annual charges (general fund)		124
General Council cash and investments		1,127
Restricted investments/funds – external:		
Development contributions		
– Section 94		27
– Section 64		6
Water fund operations		248
Sewerage fund operations		173
South West Regional Waste Management Group		49
Total interest and investment revenue recognised		<u>1,754</u>
(d) Other revenues		
Rental income – other council properties		217
Fines		13
Fines – parking		28
Fines – other		41
Legal fees recovery – rates and charges (extra charges)		81
Legal fees recovery – other		4
Commissions and agency fees		25
Diesel rebate		176
Insurance claim recoveries		102
Sales – general		77
Promotion and trade fairs		19
Insurance incentives and rebates		84
Reimbursements other councils		9
Dividend southern phone		38
Sale of scrap metal		22
Section 355 committee		51
Sale of garbage bins		2
Insurance incentive rebates		21
Training incentives		10
Worker health and safety incentives		15
Workers compensation reimbursement		69
Other		37
<u>TOTAL OTHER REVENUE</u>		<u>1,141</u>

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 3. Income from continuing operations (continued)

	13/5/16 to 30/6/17 Operating	13/5/16 to 30/6/17 Capital
\$ '000		
(e) Grants		
General purpose (untied)		
Financial assistance – general component	7,141	–
Financial assistance – local roads component	3,998	–
Pensioners' rates subsidies – general component	194	–
Total general purpose	11,333	–
Specific purpose		
Pensioners' rates subsidies:		
– Water	76	–
– Sewerage	64	–
– Domestic waste management	79	–
Water supplies	7	–
Sewerage services	–	581
Bushfire and emergency services	604	31
Economic development	52	–
Employment and training programs	9	–
Flood restoration	2,808	–
Heritage and cultural	229	–
Library – per capita	104	–
LIRS subsidy	123	–
Recreation and culture	109	435
Street lighting	99	–
Transport (roads to recovery)	2,548	–
Transport (other roads and bridges funding)	–	1,462
Youth services	4	–
Health programs	3	–
New Council Implementation Funds	5,000	–
Stronger Community Funds	–	15,000
Other	25	–
Fire and emergency services	12	–
Flood study	29	–
Technology IPAD	1	–
Total specific purpose	11,985	17,509
Total grants	23,318	17,509
Grant revenue is attributable to:		
– Commonwealth funding	13,696	302
– State funding	9,622	17,207
	23,318	17,509

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 3. Income from continuing operations (continued)

\$ '000	Notes	13/5/16 to 30/6/17 Operating	13/5/16 to 30/6/17 Capital
(f) Contributions			
Developer contributions:			
(s93 & s94 – EP&A Act, s64 of the LGA):			
S 94 – contributions towards amenities/services		102	345
S 94A – fixed development consent levies		–	113
S 64 – water supply contributions		–	102
S 64 – sewerage service contributions		–	77
Total developer contributions	17	102	645
Other contributions:			
Bushfire services		57	–
Community services		4	–
Other councils – joint works/services		2,361	–
Recreation and culture		64	73
Roads and bridges		–	57
RMS contributions (regional roads, block grant)		2,316	442
Sewerage (excl. section 64 contributions)		–	1
Water supplies (excl. section 64 contributions)		–	2
Waste		19	–
Health equipment		23	–
Other		12	13
Other		33	–
Total other contributions		4,889	588
Total contributions		4,991	1,233
TOTAL GRANTS AND CONTRIBUTIONS		28,309	18,742

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 3. Income from continuing operations (continued)

	Actual 13/5/16 to 30/6/17
\$ '000	
(g) Unspent grants and contributions	
Certain grants and contributions are obtained by Council on condition that they be spent in a specified manner:	
Unexpended at the close of the previous reporting period (former Councils)	3,226
Add: grants and contributions recognised in the current period but not yet spent:	20,051
Less: grants and contributions recognised in a previous reporting period now spent:	(1,347)
Net increase (decrease) in restricted assets during the period	18,704
Unexpended and held as restricted assets	21,930
Comprising:	
– Specific purpose unexpended grants	18,932
– Developer contributions	1,953
– Other contributions	1,045
	21,930

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 4. Expenses from continuing operations

		Actual 13/5/16 to 30/6/17
\$ '000	Notes	
(a) Employee benefits and on-costs		
Salaries and wages		15,871
Travel expenses		6
Employee leave entitlements (ELE)		2,420
Superannuation		1,886
Workers' compensation insurance		522
Fringe benefit tax (FBT)		94
Payroll tax		87
Training costs (other than salaries and wages)		234
Protective clothing		74
WH&S expenses		23
Other		134
Total employee costs		21,351
Less: capitalised costs		(1,499)
TOTAL EMPLOYEE COSTS EXPENSED		19,852
Number of 'full-time equivalent' employees (FTE) at year end		221
(b) Borrowing costs		
(i) Interest bearing liability costs		
Interest on overdraft		1
Interest on loans		1,149
Total interest bearing liability costs		1,150
Less: capitalised costs		–
Total interest bearing liability costs expensed		1,150
(ii) Other borrowing costs		
Discount adjustments relating to movements in provisions (other than ELE)		
– Remediation liabilities	26	5,168
Total other borrowing costs		5,168
TOTAL BORROWING COSTS EXPENSED		6,318

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 4. Expenses from continuing operations (continued)

\$ '000	Notes	Actual 13/5/16 to 30/6/17
(c) Materials and contracts		
Raw materials and consumables		22,511
Contractor and consultancy costs		1,432
– Contractor and consultancy costs		201
– RTA works		293
– Private works		4
– Contractors		624
– Security services		23
– IT support services		2
– Engineering		44
– Town planning		58
– Regional landfill receival charges		966
– Infrastructure capital works		1,095
– Waste haulage		454
Auditors remuneration ⁽¹⁾		42
Legal expenses:		
– Legal expenses: planning and development		43
– Legal expenses: debt recovery		87
– Legal expenses: other		12
Operating leases:		
– Operating lease rentals: minimum lease payments ⁽²⁾		43
Water acquisition costs		2,682
Water purchase		1,368
Swimming pool		15
Other		122
Total materials and contracts		32,121
Less: capitalised costs		(12,319)
TOTAL MATERIALS AND CONTRACTS		19,802

1. Auditor remuneration

a. During the year, the following fees were incurred for services provided by the other Council's Auditors (and the Auditors of other consolidated entities):

(i) Audit and other assurance services

– Audit and review of financial statements: Council's Auditor	35
– Internal audit	7

Total remuneration of other Council's Auditors **42**

Total Auditor remuneration **42**

2. Operating lease payments are attributable to:

Other	43
	43

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 4. Expenses from continuing operations (continued)

\$ '000	Notes	Actual 13/5/16 to 30/6/17
(d) Depreciation, amortisation and impairment		
Depreciation and amortisation		
Plant and equipment		2,436
Office equipment		87
Furniture and fittings		51
Land improvements (depreciable)		2
Infrastructure:		
– Buildings – non-specialised		529
– Buildings – specialised		1,971
– Other structures		217
– Roads		6,228
– Bridges		580
– Footpaths		122
– Stormwater drainage		354
– Water supply network		1,555
– Sewerage network		1,269
– Swimming pools		169
– Other open space/recreational assets		287
Other assets		
– Library books		62
Asset reinstatement costs	9 & 26	40
Total gross depreciation and amortisation costs		15,959
Less: capitalised costs		–
Total depreciation and amortisation costs		15,959
Impairment		
Infrastructure:		
– Roads		2,079
Total impairment costs		2,079
TOTAL DEPRECIATION AND IMPAIRMENT COSTS EXPENSED		18,038

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 4. Expenses from continuing operations (continued)

\$ '000	Notes	Actual 13/5/16 to 30/6/17
(e) Other expenses		
Advertising		87
Bad and doubtful debts		(2)
Bank charges		101
Cleaning		27
Computer software charges		254
Contributions/levies to other levels of government		4
– Emergency services levy (includes FRNSW, SES, and RFS levies)		239
– NSW fire brigade levy		45
– NSW rural fire service levy		408
– Waste levy		1
– Southern Slopes Noxious Weeds County Council		83
– South West Regional Library		278
– South Western rural fire zone		10
Councillor expenses – mayoral fee		1
Councillor expenses – councillors' fees		252
Councillors' expenses (incl. mayor) – other (excluding fees above)		49
Donations, contributions and assistance to other organisations (Section 356)		57
– Donations, contributions and assistance		32
– Local Government Association		20
– South West Regional Library		36
– Southern Slopes Weeds Authority		81
– Other memberships and subscriptions		5
– ROC membership		12
– Section 355 committees and community events		49
– Water utilities alliance		9
– Shires Association		19
– Southern Slopes Noxious Weeds Authority		71
– SW Regional Library		53
– Donations, contributions and assistance		882
Electricity and heating		744
Fair value decrements – I,PP&E	9(a)	13,052
Fire control expenses		92
Insurance		321
Office expenses (including computer expenses)		186
Postage		101
Printing and stationery		149
Street lighting		263
Subscriptions and publications		247
Telephone and communications		177
Tourism expenses (excluding employee costs)		144

continued on next page...

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 4. Expenses from continuing operations (continued)

		Actual 13/5/16 to 30/6/17
\$ '000	Notes	
(e) Other expenses (continued)		
Valuation fees		42
Valuation fees – land rates		47
Licence fees		14
Lease property		33
Insurance premiums (excluding motor vehicle)		698
Promotion and trade fairs		83
Computer support costs		4
Other		46
Total other expenses		19,606
Less: capitalised costs		–
<u>TOTAL OTHER EXPENSES</u>		<u>19,606</u>

Note 5. Gains or losses from the disposal of assets

		Actual 13/5/16 to 30/6/17
\$ '000	Notes	
Property (excl. investment property)		
Proceeds from disposal – property		49
Less: carrying amount of property assets sold/written off		(22)
Net gain/(loss) on disposal		27
Plant and equipment		
Proceeds from disposal – plant and equipment		1,189
Less: carrying amount of plant and equipment assets sold/written off		(639)
Net gain/(loss) on disposal		550
Infrastructure		
Proceeds from disposal – infrastructure		–
Less: carrying amount of infrastructure assets sold/written off		(108)
Net gain/(loss) on disposal		(108)
<u>NET GAIN/(LOSS) ON DISPOSAL OF ASSETS</u>		<u>469</u>

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 6a. – Cash assets and Note 6b. – investments

\$ '000	Notes	2017	
		Actual Current	Actual Non-current
Cash and cash equivalents (Note 6a)			
Cash on hand and at bank		1,909	—
Cash-equivalent assets ¹			
– Deposits at call		383	—
– Short-term deposits		11,250	—
Total cash and cash equivalents		13,542	—
Investments (Note 6b)			
– Long term deposits		41,450	—
– Listed equity securities		3	—
Total investments		41,453	—
TOTAL CASH ASSETS, CASH EQUIVALENTS AND INVESTMENTS		54,995	—

¹ Those investments where time to maturity (from date of purchase) is < 3 mths.

Cash, cash equivalents and investments were classified at year end in accordance with AASB 139 as follows:

Cash and cash equivalents

a. 'At fair value through the profit and loss'

13,542	–
---------------	----------

Investments

a. 'Held to maturity'

41,453	–
--------	---

Investments

41,453	–
---------------	----------

Refer to Note 27. Fair value measurement for information regarding the fair value of investments held.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 6c. Restricted cash, cash equivalents and investments – details

	13/5/16 to 30/6/17 Actual Current	13/5/16 to 30/6/17 Actual Non-current
\$ '000		
Total cash, cash equivalents and investments	54,995	–
attributable to:		
External restrictions (refer below)	23,498	–
Internal restrictions (refer below)	30,757	–
Unrestricted	740	–
	54,995	–

13/5/16 to 30/6/17	Transferred from former Councils	Transfers to restrictions	Transfers from restrictions	Closing balance
\$ '000				

Details of restrictions

External restrictions – included in liabilities

Specific purpose unexpended loans – general (A)	947	–	(247)	700
External restrictions – included in liabilities	947	–	(247)	700

External restrictions – other

Developer contributions – general (D)	925	600	(307)	1,218
Developer contributions – water fund (D)	603	107		710
Developer contributions – sewer fund (D)	20	77	(72)	25
RMS (formerly RTA) contributions (E)	5	–	(5)	–
Specific purpose unexpended grants (F)	1,310	1,672	(1,833)	1,149
Water supplies (G)	7,776	3,353	(2,469)	8,660
Sewerage services (G)	5,269	2,532	(424)	7,377
Domestic waste management (G)	151	–	–	151
Stormwater management (G)	126	–	–	126
Grants received in advance	164	–	(164)	–
Waste transfer station	237	–	–	237
Regional waste group	1,763	589	(26)	2,326
Regional fire zone	26	–	(15)	11
Other contributions	93	–	(72)	21
Other	762	25	–	787
External restrictions – other	19,230	8,955	(5,387)	22,798
Total external restrictions	20,177	8,955	(5,634)	23,498

A Loan moneys which must be applied for the purposes for which the loans were raised.

D Development contributions which are not yet expended for the provision of services and amenities in accordance with contributions plans (refer Note 17).

E RMS contributions which are not yet expended for the provision of services and amenities in accordance with those contributions.

F Grants which are not yet expended for the purposes for which the grants were obtained. (refer Note 1 (b))

G Water, sewerage, domestic waste management (DWM) and other special rates/levies/charges are externally restricted assets and must be applied for the purposes for which they were raised.

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 6c. Restricted cash, cash equivalents and investments – details (continued)

13/5/16 to 30/6/17 \$ '000	Transferred from former Councils	Transfers to restrictions	Transfers from restrictions	Closing balance
Internal restrictions				
Plant and vehicle replacement	702	–	–	702
Infrastructure replacement	3,388	243	(1,592)	2,039
Employees leave entitlement	3,050	128	–	3,178
Carry over works	2,139	–	(1,017)	1,122
Financial assistance grant advance payment	–	3,769	–	3,769
Incomplete works reserve	247	–	(148)	99
Implementartion Funding	–	5,000	(1,335)	3,665
Stronger Councils Funds	–	15,000	(882)	14,118
Quarries and pit restoration	552	–	–	552
Housing and community	1,560	–	(138)	1,422
Community services	10	–	(10)	–
Corporate support reserves	111	–	(28)	83
Depot improvements	50	–	(50)	–
Economic affairs	60	–	(60)	–
Health	25	–	(25)	–
Public order and safety	54	–	(54)	–
Recreational and cultural	272	–	(264)	8
Roads and other transport reserves	81	–	(81)	–
Stormwater upgrade	32	–	(32)	–
Town improvement	12	–	(12)	–
Total internal restrictions	12,606	24,140	(5,989)	30,757
TOTAL RESTRICTIONS	32,783	33,095	(11,623)	54,255

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 7. Receivables

\$ '000	Notes	2017	
		Current	Non-current
Purpose			
Rates and annual charges		1,555	—
Interest and extra charges		207	—
User charges and fees		695	—
Private works		26	—
Contributions to works		29	—
Accrued revenues			
– Interest on investments		393	—
– Other income accruals		55	—
Amounts due from other councils		168	—
Deferred debtors		26	—
Government grants and subsidies		5,604	—
Net GST receivable		603	—
Contributions		253	—
Other debtors		5	—
Total		9,619	—
Less: provision for impairment			
Rates and annual charges		(35)	—
User charges and fees		(35)	—
Other debtors		(17)	—
Total provision for impairment – receivables		(87)	—
<u>TOTAL NET RECEIVABLES</u>		<u>9,532</u>	<u>—</u>
Externally restricted receivables			
Water supply			
– Rates and availability charges		348	—
– Other		903	—
Sewerage services			
– Rates and availability charges		352	—
– Other		103	—
Domestic waste management		108	—
Stormwater management		8	—
Total external restrictions		1,822	—
Internally restricted receivables			
Nil			
Unrestricted receivables		7,710	—
TOTAL NET RECEIVABLES		9,532	—

Notes on debtors above:

- Rates and annual charges outstanding are secured against the property.
- Doubtful rates debtors are provided for where the value of the property is less than the debt outstanding.
An allowance for other doubtful debts is made when there is objective evidence that a receivable is impaired.
- Interest was charged on overdue rates and charges at 8.50% (2016 8.50%).
Generally all other receivables are non-interest bearing.
- Please refer to Note 15 for issues concerning credit risk and fair value disclosures.

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 8. Inventories and other assets

\$ '000	Notes	2017	
		Current	Non-current
(a) Inventories			
(i) Inventories at cost			
Stores and materials		713	—
Trading stock		12	—
Total inventories at cost		725	—
(ii) Inventories at net realisable value (NRV)			
Nil			
<u>TOTAL INVENTORIES</u>		<u>725</u>	<u>—</u>
(b) Other assets			
Prepayments		73	—
<u>TOTAL OTHER ASSETS</u>		<u>73</u>	<u>—</u>

Externally restricted assets

There are no restrictions applicable to the above assets.

Refer to Note 27. Fair value measurement for information regarding the fair value of other assets held.

Hilltops Council

Notes to the Financial Statements
for the period 13 May 2016 to 30 June 2017

Note 9a. Infrastructure, property, plant and equipment

Asset class \$ '000	IPP&E transferred from former Councils as at 13/5/2016			Asset movements during the reporting period									as at 30/6/2017		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals	Additions new assets	Carrying value of disposals	Depreciation expense	Impairment loss (recognised in P/L)	WIP transfers	Adjustments and transfers	Other movements	Revaluation decrements to P&L	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
Capital work in progress	916	–	916	532	458	–	–	–	(1,128)	(4)	–	–	774	–	774
Plant and equipment	27,534	14,930	12,604	3,960	–	(639)	(2,436)	–	–	(41)	(4)	–	28,044	14,600	13,444
Office equipment	928	668	260	55	–	–	(87)	–	–	–	–	–	921	693	228
Furniture and fittings	718	324	394	9	18	–	(51)	–	–	–	–	–	799	429	370
Land:															
– Operational land	6,528	–	6,528	15	–	(18)	–	–	–	89	–	–	6,614	–	6,614
– Community land	7,936	–	7,936	48	–	–	–	–	–	(89)	–	–	7,895	–	7,895
Land improvements – non-depreciable	71	–	71	–	–	–	–	–	–	–	–	–	71	–	71
Land improvements – depreciable	50	11	39	23	–	–	(2)	–	–	–	–	–	73	13	60
Infrastructure:															
– Buildings – non-specialised	19,831	12,009	7,822	22	–	–	(529)	–	–	–	–	–	19,853	12,538	7,315
– Buildings – specialised	72,560	34,812	37,748	584	373	–	(1,971)	–	194	286	–	–	73,584	36,370	37,214
– Other structures	7,246	3,609	3,637	237	9	(9)	(217)	–	76	–	–	–	7,547	3,814	3,733
– Roads	327,608	98,416	229,192	4,339	3,898	(95)	(6,228)	(2,079)	347	–	–	–	334,367	104,993	229,374
– Bridges	50,904	23,889	27,015	826	–	–	(580)	–	–	–	–	–	51,730	24,469	27,261
– Footpaths	7,183	1,997	5,186	207	–	(5)	(122)	–	–	–	–	–	7,372	2,106	5,266
– Bulk earthworks (non-depreciable)	95,261	–	95,261	–	–	–	–	–	29	–	–	–	95,290	–	95,290
– Stormwater drainage	28,131	16,246	11,885	242	–	(3)	(354)	–	30	–	–	–	28,400	16,600	11,800
– Water supply network	101,669	60,025	41,644	733	5	–	(1,555)	–	–	–	–	(373)	70,233	29,779	40,454
– Sewerage network	84,647	32,868	51,779	4,159	48	–	(1,269)	–	51	(939)	–	(12,679)	69,275	28,125	41,150
– Swimming pools	8,037	3,511	4,526	33	–	–	(169)	–	–	–	–	–	8,070	3,680	4,390
– Other open space/recreational assets	8,683	3,418	5,265	5	196	–	(287)	–	401	698	–	–	10,028	3,750	6,278
Other assets:															
– Library books	445	255	190	–	62	–	(62)	–	–	–	–	–	507	317	190
Reinstatement, rehabilitation and restoration assets (refer Note 26):															
– Tip assets	304	299	5	–	–	–	(2)	–	–	–	–	–	304	301	3
– Quarry assets	639	253	386	–	–	–	(38)	–	–	–	–	–	639	291	348
TOTAL INFRASTRUCTURE, PROPERTY, PLANT AND EQUIP.	857,829	307,540	550,289	16,029	5,067	(769)	(15,959)	(2,079)	–	–	(4)	(13,052)	822,390	282,868	539,522

Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

Refer to Note 27. Fair value measurement for information regarding the fair value of other infrastructure, property, plant and equipment.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 9b. Externally restricted infrastructure, property, plant and equipment

\$ '000 Class of asset	Actual 2017		
	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount
Water supply			
WIP	126	—	126
Plant and equipment	624	468	156
Office equipment	99	55	44
Land			
– Operational land	169	—	169
Infrastructure	70,233	29,778	40,455
Total water supply	71,251	30,301	40,950
Sewerage services			
Plant and equipment	1,926	1,757	169
Land			
– Operational land	570	—	570
Buildings	386	92	294
Infrastructure	69,275	28,125	41,150
Total sewerage services	72,157	29,974	42,183
Domestic waste management			
Plant and equipment	203	159	44
Total DWM	203	159	44
SWRWMG			
Plant and equipment	1,289	691	598
Other Structures	195	18	177
Total other restrictions	1,484	709	775
TOTAL RESTRICTED I,PP&E	145,095	61,143	83,952

Note 9c. Infrastructure, property, plant and equipment – current year impairments

		Actual 13/5/16 to 30/6/17
\$ '000	Notes	
Impairment losses recognised in the Income Statement:		
Road Impairment		(2,079)
Total impairment losses		(2,079)
IMPAIRMENT OF ASSETS – GAINS/(LOSSES) in P/L	4(d)	(2,079)

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 10a. Payables, borrowings and provisions

\$ '000	Notes	2017	
		Current	Non-current
Payables			
Goods and services – operating expenditure		2,266	2
Goods and services – capital expenditure		54	–
Accrued expenses:			
– Borrowings		100	–
– Salaries and wages		279	–
– Other expenditure accruals		44	–
Security bonds, deposits and retentions		584	109
Other		18	–
Total payables		3,345	111
Income received in advance			
Payments received in advance		477	–
Total income received in advance		477	–
Borrowings			
Loans – secured ¹		1,572	17,421
Total borrowings		1,572	17,421
Provisions			
Employee benefits:			
Annual leave		1,778	–
Sick leave		634	–
Long service leave		3,903	146
Other leave		20	–
RDO leave		32	–
Sub-total – aggregate employee benefits		6,367	146
Asset remediation/restoration (future works)	26	100	6,860
Total provisions		6,467	7,006
TOTAL PAYABLES, BORROWINGS AND PROVISIONS		11,861	24,538
(i) Liabilities relating to restricted assets			
		2017	
		Current	Non-current
Externally restricted assets			
Water		181	–
Sewer		161	12,648
Liabilities relating to externally restricted assets		342	12,648
Internally restricted assets			
Nil			
Total liabilities relating to restricted assets		342	12,648
Total liabilities relating to unrestricted assets		11,519	11,890
TOTAL PAYABLES, BORROWINGS AND PROVISIONS		11,861	24,538

¹ Loans are secured over the general rating income of Council

Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note 15.

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 10a. Payables, borrowings and provisions (continued)

	Actual 2017
\$ '000	
(ii) Current liabilities not anticipated to be settled within the next twelve months	
The following liabilities, even though classified as current, are not expected to be settled in the next 12 months.	
Provisions – employees benefits	4,282
Payables – security bonds, deposits and retentions	–
	4,282

Note 10b. Description of and movements in provisions

Class of provision	2016 Opening balance (former Councils)	13/5/16 to 30/6/17				Closing balance as at 30/6/17
		Additional provisions	Decrease due to payments	Remeasurement effects due to discounting	Unused amounts reversed	
Gratuities	20	(20)	–	–	–	–
Asset remediation	1,796	–	(4)	5,168	–	6,960
TOTAL	1,816	(20)	(4)	5,168	–	6,960

- a. Asset remediation, reinstatement and restoration provisions represent the present value estimate of future costs Council will incur in order to remove, restore and remediate assets and/or activities as a result of past operations.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 11. Statement of cash flows – additional information

\$ '000	Notes	Actual 2017
(a) Reconciliation of cash assets		
Total cash and cash equivalent assets	6a	13,542
Less bank overdraft	10	–
Balance as per the Statement of Cash Flows		13,542
(b) Reconciliation of net operating result to cash provided from operating activities		
Net result from Income Statement		1,767
Adjust for non-cash items:		
Depreciation and amortisation		15,959
Net losses/(gains) on disposal of assets		(469)
Impairment losses recognition – I,PP&E		2,079
Losses/(gains) recognised on fair value re-measurements through the P&L:		
– Write offs relating to the fair valuation of I,PP&E		13,052
Unwinding of discount rates on reinstatement provisions		5,168
+/- Movement in operating assets and liabilities and other cash items:		
Decrease/(increase) in receivables		3,592
Increase/(decrease) in provision for doubtful debts		(65)
Decrease/(increase) in inventories		(200)
Decrease/(increase) in other assets		166
Increase/(decrease) in payables		(380)
Increase/(decrease) in accrued interest payable		(113)
Increase/(decrease) in other accrued expenses payable		(409)
Increase/(decrease) in other liabilities		156
Increase/(decrease) in employee leave entitlements		(101)
Increase/(decrease) in other provisions		(4)
Net cash provided from/(used in) operating activities from the Statement of Cash Flows		40,198

(c) Non-cash investing and financing activities

Nil

(d) Financing arrangements

Nil

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 12. Commitments for expenditure

	Notes	Actual 2017
\$ '000		

(a) Capital commitments (exclusive of GST)

Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Buildings	568
Bridge	929
Total commitments	1,497

These expenditures are payable as follows:

Within the next year	1,497
Later than one year and not later than 5 years	–
Later than 5 years	–
Total payable	1,497

(b) Finance lease commitments

Nil

(c) Operating lease commitments (non-cancellable)

a. Commitments under non-cancellable operating leases at the reporting date, but not recognised as liabilities are payable:

Within the next year	24
Later than one year and not later than 5 years	–
Later than 5 years	–
Total non-cancellable operating lease commitments	24

b. Non-cancellable operating leases include the following assets:

Contingent rentals may be payable depending on the condition of items or usage during the lease term.

Conditions relating to operating leases:

- All operating lease agreements are secured only against the leased asset.
- No lease agreements impose any financial restrictions on Council regarding future debt etc.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 13a. Statement of performance measurement – indicators (consolidated)

\$ '000	Amounts 2017	Indicator 2017	Benchmark
Local government industry indicators – consolidated			
1. Operating performance ratio			
Total continuing operating revenue ⁽¹⁾ excluding capital grants and contributions less operating expenses	(4,392)	-6.64%	>0.00%
Total continuing operating revenue ⁽¹⁾ excluding capital grants and contributions	66,172		
2. Own source operating revenue ratio			
Total continuing operating revenue ⁽¹⁾ excluding all grants and contributions	37,863	44.59%	>60.00%
Total continuing operating revenue ⁽¹⁾	84,914		
3. Unrestricted current ratio			
Current assets less all external restrictions ⁽²⁾	40,005	5.53x	>1.5x
Current liabilities less specific purpose liabilities ^(3, 4)	7,237		
4. Debt service cover ratio			
Operating result ⁽¹⁾ before capital excluding interest and depreciation/impairment/amortisation	19,964	2.28x	>2x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	8,746		
5. Rates, annual charges, interest and extra charges outstanding percentage			
Rates, annual and extra charges outstanding	1,727	6.76%	< 5% Metro <10% Rural
Rates, annual and extra charges collectible	25,546		
6. Cash expense cover ratio			
Current year's cash and cash equivalents plus all term deposits	54,992	12.11 mths	> 3 mths
Payments from cash flow of operating and financing activities	4,539		

Notes

⁽¹⁾ Excludes fair value adjustments and reversal of revaluation decrements, net gain/(loss) on sale of assets and the net share of interests in joint ventures and associates.

⁽²⁾ Refer Notes 6-8 inclusive.

Also excludes any real estate and land for resale not expected to be sold in the next 12 months.

⁽³⁾ Refer to Note 10(a).

⁽⁴⁾ Refer to Note 10(a)(ii) – excludes all payables and provisions not expected to be paid in the next 12 months (incl. ELE).

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 13b. Statement of performance measurement – indicators (by fund)

\$ '000	General ⁵ 2017	Water 2017	Sewer 2017	Benchmark
Local government industry indicators – by fund				
1. Operating performance ratio				
Total continuing operating revenue ⁽¹⁾ excluding capital grants and contributions less operating expenses	16.40%	-8.82%	-294.23%	>0.00%
Total continuing operating revenue ⁽¹⁾ excluding capital grants and contributions				
2. Own source operating revenue ratio				
Total continuing operating revenue ⁽¹⁾ excluding all grants and contributions	35.92%	97.28%	85.41%	>60.00%
Total continuing operating revenue ⁽¹⁾				
3. Unrestricted current ratio				
Current assets less all external restrictions ⁽²⁾	5.53x	58.68x	48.80x	>1.5x
Current liabilities less specific purpose liabilities ^(3, 4)				
4. Debt service cover ratio				
Operating result ⁽¹⁾ before capital excluding interest and depreciation/impairment/amortisation	2.06x	636.00x	3.01x	>2x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)				
5. Rates, annual charges, interest and extra charges outstanding percentage				
Rates, annual and extra charges outstanding	5.31%	13.45%	9.77%	< 5%
Rates, annual and extra charges collectible				Metro <10% Rural
6. Cash expense cover ratio				
Current year's cash and cash equivalents plus all term deposits	11.14 mths	2653.00 mths	876.00 mths	> 3 mths
Payments from cash flow of operating and financing activities				

Notes

(1) - (4) Refer to Notes at Note 13a(i) above.

(5) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 14. Investment properties

Council has not classified any land or buildings as 'investment properties'.

Note 15. Financial risk management

\$ '000

Risk management

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's finance section under policies approved by the Council.

A comparison by category of the carrying amounts and fair values of Council's financial assets and financial liabilities recognised in the financial statements is presented below.

	Carrying Amount 2017	Fair Value 2017
Financial assets		
Cash and cash equivalents	13,542	13,542
Investments		
– 'Held to maturity'	41,453	41,543
Receivables	9,532	9,863
Total financial assets	64,527	64,948
Financial liabilities		
Payables	3,456	3,839
Loans/advances	18,993	18,993
Total financial liabilities	22,449	22,832

Fair value is determined as follows:

- **Cash** and **cash equivalents**, **receivables**, **payables** – are estimated to be the carrying value that approximates market value.
- **Borrowings** and **held-to-maturity** investments – are based upon estimated future cash flows discounted by the current mkt interest rates applicable to assets and liabilities with similar risk profiles, unless quoted market prices are available.
- Financial assets classified (i) '**at fair value through profit and loss**' or (ii) '**available-for-sale**' – are based upon quoted market prices (in active markets for identical investments) at the reporting date or independent valuation.

Refer to Note 27. Fair value measurement for information regarding the fair value of financial assets and liabilities.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 15. Financial risk management (continued)

\$ '000

Council's objective is to maximise its return on cash and investments whilst maintaining an adequate level of liquidity and preserving capital.

Council's finance area manages the cash and Investments portfolio with the assistance of independent advisors.

Council has an investment policy which complies with the *Local Government Act 1993* and Minister's investment order. This policy is regularly reviewed by Council and its staff and an investment report is tabled before Council on a monthly basis setting out the portfolio breakup and its performance.

The risks associated with the investments held are:

- **Price risk** – the risk that the capital value of Investments may fluctuate due to changes in market prices, whether there changes are caused by factors specific to individual financial instruments or their issuers or are caused by factors affecting similar instruments traded in a market.
- **Interest rate risk** – the risk that movements in interest rates could affect returns and income.
- **Credit risk** – the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council – be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

Council also seeks advice from independent advisers before placing any funds in cash equivalents and investments.

(a) Market risk – price risk and interest rate risk

The following represents a summary of the sensitivity of Council's Income Statement and accumulated surplus (for the reporting period) due to a change in either the price of a financial asset or the interest rates applicable.

It is assumed that the change in interest rates would have been constant throughout the reporting period.

13/5/16 to 30/6/17	Increase of values/rates		Decrease of values/rates	
	Profit	Equity	Profit	Equity
Possible impact of a 10% movement in market values	2,245	2,245	(2,245)	(2,245)
Possible impact of a 1% movement in interest rates	224	224	(224)	(224)

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 15. Financial risk management (continued)

\$ '000

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

The major risk associated with these receivables is credit risk – the risk that debts due and payable to Council may not be repaid in full.

Council manages this risk by monitoring outstanding debt and employing stringent debt recovery procedures. It also encourages ratepayers to pay their rates by the due date through incentives.

Credit risk on rates and annual charges is minimised by the ability of Council to secure a charge over the land relating to the debts – that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages the payment of debt.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

A profile of Council's receivables credit risk at balance date follows:

(i) Ageing of receivables – %

Current (not yet overdue)

Overdue

2017	2017
Rates and annual charges	Other receivables
0%	100%
100%	0%
100%	100%

(ii) Ageing of receivables – value

Rates and annual charges

Other receivables

Current

Current

< 1 year overdue

0 – 30 days overdue

1 – 2 years overdue

31 – 60 days overdue

2 – 5 years overdue

61 – 90 days overdue

> 5 years overdue

> 91 days overdue

Rates and annual charges	Other receivables
–	5,359
939	1,400
347	226
147	392
122	687
1,555	8,064

(iii) Movement in provision for impairment of receivables

Balance at the beginning of the year (former Councils)

+ new provisions recognised during the year

– amounts already provided for and written off this year

Balance at the end of the year

2017

152

4

(69)

87

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 15. Financial risk management (continued)

\$ '000

(c) Liquidity risk

Payables and borrowings are both subject to liquidity risk – the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels and maintaining an adequate cash buffer.

Payment terms can (in extenuating circumstances) also be extended and overdraft facilities utilised as required.

The contractual undiscounted cash outflows (ie. principal and interest) of Council's payables and borrowings are set out in the maturity table below:

\$ '000	Subject to no maturity	payable in:						Total cash outflows	Actual carrying values
		≤ 1 Year	1-2 Yrs	2-3 Yrs	3-4 Yrs	4-5 Yrs	> 5 Yrs		
13/5/16 to 30/6/17									
Trade/other payables	693	–	–	–	–	–	–	693	3,456
Loans and advances	–	2,361	2,252	1,885	1,846	1,846	12,481	22,671	18,993
Total financial liabilities	693	2,361	2,252	1,885	1,846	1,846	12,481	23,364	22,449

Borrowings are also subject to interest rate risk – the risk that movements in interest rates could adversely affect funding costs and debt servicing requirements. Council manages this risk through the diversification of borrowing types, maturities and interest rate structures.

The following interest rates were applicable to Council's borrowings at balance date:

	2017	
	Carrying value	Average interest rate
Trade/other payables	3,456	0.00%
Loans and advances – fixed interest rate	18,993	4.83%
	<u>22,449</u>	

Note 16. Material budget variations

In accordance with the Supplementary Code 25, this note is not required for new Councils.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 17. Statement of developer contributions

\$ '000

Council recovers contributions, raises levies and enters into planning agreements on development works that are subject to a development consent issued by Council. All contributions must be spent/utilised for the specific purpose they were levied and any interest applicable to unspent funds must be attributed to remaining funds.

The following tables detail the receipt, interest and use of the above contributions and levies and the value of all remaining funds which are 'restricted' in their future use.

SUMMARY OF CONTRIBUTIONS AND LEVIES

PURPOSE	S94 Funds transferred from former Councils	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Roads	519	313	–	17	(189)	–	660	–
S94 contributions – under a plan	519	313	–	17	(189)	–	660	–
S94A levies – under a plan	315	255	–	10	(115)	–	465	–
Total S94 revenue under plans	834	568	–	27	(304)	–	1,125	–
S94 not under plans	92	–	–	–	–	–	92	–
S64 contributions	622	179	–	6	(71)	–	736	–
Total contributions	1,548	747	–	33	(375)	–	1,953	–

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 17. Statement of developer contributions (continued)

\$ '000

S94 CONTRIBUTIONS – UNDER A PLAN

CONTRIBUTION PLAN (former Harden)

PURPOSE	S94 Funds transferred from former Councils	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Roads	519	313	–	17	(189)	–	660	–
Total	519	313	–	17	(189)	–	660	–

S94A LEVIES – UNDER A PLAN

CONTRIBUTION PLAN (former Boorowa)

PURPOSE	S94 Funds transferred from former Councils	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Roads	129	8	–	3	–	–	140	–
Community facilities	148	32	–	5	–	–	185	–
Total	277	40	–	8	–	–	325	–

CONTRIBUTION PLAN (former Harden)

PURPOSE	S94 Funds transferred from former Councils	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Other	38	113	–	2	(13)	–	140	–
Total	38	113	–	2	(13)	–	140	–

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 17. Statement of developer contributions (continued)

\$ '000

S94A LEVIES – UNDER A PLAN

Young

PURPOSE	S94 Funds transferred from former Councils	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Community facilities	–	102	–	–	(102)	–	–	–
Total	–	102	–	–	(102)	–	–	–

S94 CONTRIBUTIONS – NOT UNDER A PLAN

(former Young)

PURPOSE	S94 Funds transferred from former Councils	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Drainage	27	–	–	–	–	–	27	–
Parking	65	–	–	–	–	–	65	–
Total	92	–	–	–	–	–	92	–

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 18. Contingencies and other assets/liabilities not recognised

\$ '000

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED:

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council participates in an employer-sponsored defined benefit superannuation scheme, and makes contributions as determined by the superannuation scheme's trustees.

Member councils bear responsibility of ensuring there are sufficient funds available to pay out the required benefits as they fall due.

The schemes most recent full actuarial review indicated that the net assets of the scheme were not sufficient to meet the accrued benefits of the schemes defined benefit member category with member councils required to make significantly higher contributions in future years.

The Local Government Superannuation Scheme however is unable to provide Council with an accurate estimate of its share of the net deficit and accordingly Council has not recorded any net liability from its defined benefit scheme obligations in accordance with AASB 119.

Future contributions made to the defined benefit scheme to rectify the net deficit position will be recognised as an expense when they become payable – similar to the accounting for defined contributions plans.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30/6 this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 18. Contingencies and other assets/liabilities not recognised (continued)

\$ '000

LIABILITIES NOT RECOGNISED (continued):

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

(ii) S94 plans

Council levies section 94/94A contributions upon various development across the Council area through the required contributions plans.

As part of these plans, Council has received funds for which it will be required to expend the monies in accordance with those plans.

As well, these plans indicate proposed future expenditure to be undertaken by Council, which will be funded by making levies and receipting funds in future years or where a shortfall exists by the use of Council's general funds.

These future expenses do not yet qualify as liabilities as of the reporting date, but represent Council's intention to spend funds in the manner and timing set out in those plans.

(iii) Potential land acquisitions due to planning

Council has classified a number of privately owned land parcels as local open space or bushland.

As a result, where notified in writing by the various owners, Council will be required to purchase these land parcels.

At reporting date, reliable estimates as to the value of any potential liability (and subsequent land asset) from such potential acquisitions has not been possible.

ASSETS NOT RECOGNISED:

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

(ii) Infringement notices/fines

Fines and penalty income, the result of Council issuing infringement notices is followed up and collected by the Infringement Processing Bureau.

Council's revenue recognition policy for such income is to account for it as revenue on receipt.

Accordingly, at year end, there is a potential asset due to Council representing issued but unpaid infringement notices.

Due to the limited information available on the status, value and duration of outstanding notices, Council is unable to determine the value of outstanding income.

Note 19. Interests in other entities

Council has no interest in any controlled entities, joint arrangements or associates.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 20. Retained earnings, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors

\$ '000	Notes	Actual 2017
(a) Retained earnings		
Movements in retained earnings were as follows:		
a. Net result for the year		568,448
Balance at end of the reporting period		<u>568,448</u>

(b) Revaluation reserves

Council has no reportable equity reserves.

(c) Correction of error/s relating to a previous reporting period

Council made no correction of errors during the current reporting period.

(d) Voluntary changes in accounting policies

Council made no voluntary changes in any accounting policies during the year.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 21. Financial result and financial position by fund

Income Statement by fund	Actual 13/5/16 to 30/6/17	Actual 13/5/16 to 30/6/17	Actual 13/5/16 to 30/6/17	Actual 13/5/16 to 30/6/17
\$ '000				
Continuing operations	Other	Water	Sewer	General¹
Income from continuing operations				
Rates and annual charges	–	2,569	3,603	14,741
User charges and fees	–	4,620	420	9,015
Interest and investment revenue	49	253	174	1,278
Other revenues	–	34	–	1,107
Grants and contributions provided for operating purposes	2,107	83	64	26,055
Grants and contributions provided for capital purposes	–	103	659	17,980
Other income				
Net gains from disposal of assets	–	364	–	105
Total income from continuing operations	2,156	8,026	4,920	70,281
Expenses from continuing operations				
Employee benefits and on-costs	27	1,093	747	17,985
Borrowing costs	1	2	707	5,608
Materials and contracts	1,434	959	1,182	16,227
Depreciation and amortisation	136	2,483	1,693	11,647
Impairment	–	–	–	2,079
Other expenses	15	4,050	12,489	3,052
Total expenses from continuing operations	1,613	8,587	16,818	56,598
Operating result from continuing operations	543	(561)	(11,898)	13,683
Discontinued operations				
Net profit/(loss) from discontinued operations	–	–	–	–
Net operating result for the year	543	(561)	(11,898)	13,683
Gain on local government amalgamation				
Assets and liabilities transferred from former councils	–	51,951	49,790	464,940
Net result for the year	543	51,390	37,892	478,623
Net result attributable to each council fund	543	51,390	37,892	478,623
Net result attributable to non-controlling interests	–	–	–	–
Net operating result for the year before grants and contributions provided for capital purposes	543	(664)	(12,557)	(4,297)

¹ General fund refers to all Council's activities other than Water, Sewer and Other

NB. All amounts disclosed above are gross – that is, they include internal charges and recoveries made between the funds.

Hilltops Council

Notes to the Financial Statements

as at 30 June 2017

Note 21. Financial result and financial position by fund (continued)

Statement of Financial Position by fund \$ '000	Actual 2017	Actual 2017	Actual 2017	Actual 2017
ASSETS	Other	Water	Sewer	General¹
Current assets				
Cash and cash equivalents	2,338	2,652	1,751	6,801
Investments	–	6,718	5,651	29,084
Receivables	335	1,251	455	7,491
Inventories	–	–	–	725
Other	–	–	–	73
Total current assets	2,673	10,621	7,857	44,174
Non-current assets				
Investments	–	–	–	–
Receivables	–	–	–	–
Inventories	–	–	–	–
Infrastructure, property, plant and equipment	774	40,950	42,183	455,615
Investments accounted for using the equity method	–	–	–	–
Investment property	–	–	–	–
Intangible assets	–	–	–	–
Other	–	–	–	–
Total non-current assets	774	40,950	42,183	455,615
TOTAL ASSETS	3,447	51,571	50,040	499,789
LIABILITIES				
Current liabilities				
Payables	–	100	111	3,134
Income received in advance	–	–	–	477
Borrowings	–	–	–	1,572
Provisions	–	81	50	6,336
Total current liabilities	–	181	161	11,519
Non-current liabilities				
Payables	–	–	–	111
Borrowings	–	–	12,648	4,773
Provisions	–	–	–	7,006
Total non-current liabilities	–	–	12,648	11,890
TOTAL LIABILITIES	–	181	12,809	23,409
Net assets	3,447	51,390	37,231	476,380
EQUITY				
Retained earnings	3,447	51,390	37,231	476,380
Revaluation reserves	–	–	–	–
Total equity	3,447	51,390	37,231	476,380

¹ General Fund refers to all Council's activities other than Water, Sewer and Other

NB. All amounts disclosed above are gross – that is, they include internal receivables and payables between the funds.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 22. 'Held for sale' non-current assets and disposal groups

\$ '000

Council did not classify any non-current assets or disposal groups as 'held for sale'.

Note 23. Events occurring after the reporting date

Events that occur between the end of the reporting period (30 June 2017) and the date when the financial statements are 'authorised for issue' have been taken into account in preparing these statements.

Council has adopted the date of receipt of the Auditors' Report as the applicable 'authorised for issue' date relating to these General Purpose Financial Statements.

Accordingly, the 'authorised for issue' date is 29/11/17.

Events that occur after the reporting period represent one of two types:

(i) Events that provide evidence of conditions that existed at the reporting period

These financial statements (and the figures therein) incorporate all 'adjusting events' that provided evidence of conditions that existed at 30 June 2017.

(ii) Events that provide evidence of conditions that arose after the reporting period

These financial statements (and figures therein) do not incorporate any 'non-adjusting events' that have occurred after 30 June 2017 and which are only indicative of conditions that arose after 30 June 2017.

Council is unaware of any material or significant 'non-adjusting events' that should be disclosed.

Note 24. Discontinued operations

Council has not classified any of its operations as 'discontinued'.

Note 25. Intangible assets

Intangible assets represent identifiable non-monetary assets without physical substance.

Council is unaware of any control over intangible assets that warrant recognition in the financial statements, including either internally generated and developed assets or purchased assets.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 26. Reinstatement, rehabilitation and restoration liabilities

\$ '000

Council has legal/public obligations to make restore, rehabilitate and reinstate the following assets/operations:

Asset/operation	Estimated year of restoration	NPV of provision 2017
Tips and quarries		937
Jugiong common gravel pit	11	38
Goorama gravel pit	15	52
Sheas gravel pit	3	55
Collins gravel pit	12	48
Thompson's roadside gravel pit	11	49
Waste depots and transfer stations		5,465
Quarries and gravel pits		316
Balance at end of the reporting period	10(a)	6,960

Under AASB 116 – Property, Plant and Equipment, where the use of an asset results in the obligation to dismantle or remove the asset and restore the site on which the asset stands, an estimate of such costs is required to be included in the cost of the asset.

An equivalent liability must be recognised under AASB 137 – Provisions, Contingent Liabilities and Contingent Assets.

The provision has been calculated by determining the present value of the future expenditures expected to be incurred. The discount rate used is the risk free borrowing rate applicable to Council.

Reconciliation of movement in provision for year:

Balance at beginning of year (former Councils)	1,796
Amortisation of discount (expensed to borrowing costs)	5,168
Expenditure incurred attributable to provisions	(4)
Total – reinstatement, rehabilitation and restoration provision	6,960

Amount of expected reimbursements

Of the above provisions for reinstatement, rehabilitation and restoration works, those applicable to garbage services and waste management are able to be funded through future charges incorporated within Council's annual domestic waste management charge.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 27. Fair value measurement

\$ '000

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, property, plant and equipment
- Financial assets and liabilities

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

(1) The following table presents all assets and liabilities that have been measured and recognised at fair values:

		Fair value measurement hierarchy			Total
		Level 1	Level 2	Level 3	
13/5/16 to 30/6/17		Quoted prices in active mkts	Significant observable inputs	Significant unobservable inputs	
Recurring fair value measurements					
Infrastructure, property, plant and equipment					
Plant & Equipment	30/06/17	–	–	13,444	13,444
Office Equipment, Furniture and Fittings	30/06/17	–	–	598	598
Operational Land	30/06/13	–	6,614	–	6,614
Community Land	12/05/16	–	–	7,895	7,895
Land Improvements	30/06/11	–	–	131	131
Buildings - Specialised	30/06/13	–	–	7,315	7,315
Buildings Non-Specialised	30/06/13	–	37,214	–	37,214
other structures	30/06/13	–	–	3,733	3,733
Roads	30/06/15	–	–	229,374	229,374
Bridges	30/06/15	–	–	27,261	27,261
Footpaths	30/06/15	–	–	5,266	5,266
Bulk Earthworks	30/06/15	–	–	95,290	95,290
Stormwater Drainage	30/06/15	–	–	11,800	11,800
Water Supply Network	30/06/17	–	–	40,454	40,454
Sewer Network	30/06/17	–	–	41,150	41,150
Swimming Pools	30/06/13	–	–	4,390	4,390
Other open space/recreational assets	30/06/13	–	–	6,278	6,278
Library Books	30/06/17	–	–	190	190
Reinstatements	30/06/17	–	–	351	351
Total infrastructure, property, plant and equipment		–	43,828	494,920	538,748

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 27. Fair value measurement (continued)

(2) Transfers between level 1 and level 2 fair value hierarchies

During the year, there were no transfers between level 1 and level 2 fair value hierarchies for recurring fair value measurements.

(3) Valuation techniques used to derive level 2 and level 3 fair values

Where Council is unable to derive fair valuations using quoted market prices of identical assets (i.e. level 1 inputs), Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Infrastructure, property, plant and equipment

Plant and equipment

Council's Plant and equipment incorporates

- Major plants- graders, loaders, rollers, trucks, tractors,
- Fleet Vehicles- Cars, Utes etc.
- Minor Plant – Pumps, Chainsaws, brush cutters, mowers, concrete mixers, movie projectors.

Council fair values plant and equipment using level 3 inputs. The observable Level 3 inputs used

- Quoted price for similar assets
- Purchase price
- Useful life of asset
- Current replacement Cost

The 'Cost Approach' is used to value Plant & Equipment

Furniture and fittings

Council's Furniture & Fittings incorporates

- Furniture and fittings- Desks, Chairs, Display Systems

Council fair values furniture fittings using level 3 inputs. The observable Level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

The 'Cost Approach' is used to value Furniture & Fittings.

Property, office equipment

Council's Office Equipment incorporates:

- Office Equipment: copiers, telephone system, projectors, fridges etc.

Council fair values office equipment using level 3 inputs. The observable Level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 27. Fair value measurement (continued)

Infrastructure – Roads/Bulk Earthworks

The road carriageway is defined as the trafficable portion of a road, between but not including the kerb and gutter and would include any paved makers parking places along side roadside.

Council's Road Asset Data contains detailed dimensions and specification for all Council roads.

Council fair values, road infrastructure using Level 3 inputs at a component level.

The 'Cost Approach' is used to value roads by componentising the assets into significant parts and then rolling up these component values to provide an overall road valuation (for each road segment) within Council's Asset System.

Level of componentisation adopted by Council is in accordance with AASB 116, OLG Circular 09-09 and the Institute of Public Works Engineers International Infrastructure Management Manual (IIMM)

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Useful life and residual value
- Asset Condition
- Dimensions and Specification
- Remaining Life of Carriageway
- Unit Rates.

There were no changes in valuation technique from prior year.

Infrastructure - Bridges

A bridge is defined as all structures that convey a road, a footpath or a cycleway across any other physical feature (including waterways and other roads) but do not include culverts.

Council Road Asset Data contains detailed dimensions and specification for all Council's bridges.

Council fair values, bridges (non- componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates.

In addition, the value of bridges takes into consideration the various type of structures such as:

- Bridge Deck/ Superstructure
- Bridge Abutments/Foundations
- Bridge rails and hand rails

There were no changes in valuation technique from prior year.

The 'Cost Approach' is used to value bridges.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 27. Fair value measurement (continued)

Infrastructure - Footpaths

A footpath is defined as all footways (including those shared with a cycleway) sealed or non-sealed. Council Road Asset Data contains detailed dimensions and specifications for all Council footpaths.

Council fair values, footpaths (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates.

In additions, the value of footpaths takes into consideration the various type of structure such as:

- Length
- Construction Materials

The 'Cost Approach' is used to value footpaths.

Infrastructure - Drainage

Council's Drainage Assets comprises pits, pipes, culverts, open channels, headwalls used to collect and remove stormwater.

Council carries fair values drainages assets (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates.

In addition, the value of drainage assets takes into consideration the various type if structure such as

- Pipe Diameter
- Pit Type
- Water Quality Device Type
- Culverts and Headwall Constructions Type.

The 'Cost Approach' is used to value drainage assets.

Property: - Operational Land

Council's "Operational" land by definition has no special restriction other than those that may apply to any piece of land.

Council carries fair values operational land by an External Valuer every 5 years (last valuation being 2013) using Level 2 inputs.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 27. Fair value measurement (continued)

The unobservable Level 2 inputs used include:

- Land Area
- Rate per square Metre
- Planning and Other Restrictions
- Description of Land

The 'Market Approach' is used to value the Operational Land.

Property: - Community Land

Council's "Community" land (including owned by Council, the Crown and various other Government Agencies that is managed by Council) by definition is land intended for public access and use or where other restrictions applying to the land create some obligation to maintain public access (such as a trust deed, dedication under section 94 of the Environment Planning and Assessment Act 1979). This gives rise to the restrictions in the Act, intended to preserve the qualities of the land.

Community Land:

- Cannot be sold
- Cannot be leased, licensed, or any other estate granted over the land for more than 21 years and
- Must have a plan of management for it.

In relation to Community Land the Division of Local Government has reviewed its positions on the use of the Valuer General's Valuations of community land and in association with the Local Government Accounting Advisory Group, the Division has determined that community land may be valued as follows.

- The NSW Valuer General's valuations may be used under revaluation model to represent fair value for the revaluation of community land under clause 31 of AASB 116.

Council fair values community land using unobservable Level 3 inputs based on inputs on either the UCV (Unimproved Capital Value) provided by the Valuer General or an average unit rate based on the UCV and allocated by Council against those properties where the Valuer General did not provide a UCV.

The 'Cost Approach' is used to value Community land.

Land improvements

Council's Land improvements incorporates

- Sprinkler & Watering Systems
- Cemetery Irrigation

Council carries fair values of land reserves using level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of consumption
- Asset Condition
- Dimensions and Specification

The cost approach is used to value the land improvements

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 27. Fair value measurement (continued)

Property- Buildings (specialised and non-specialised)

Council Buildings incorporates Council administration buildings, Libraries, Public Amenities, Sporting Club Houses, Kiosks and Amenities, Depot Buildings and workshops, Halls & Community Centres and Rural Fire Service Buildings.

Council carries fair values building using level 3 inputs. Valuations are generally carried out by an external Valuer using the cost approach. This approach estimates the replacement cost for each building by componentising the building (for complex structures) into significant parts with different useful life and taking in to account a range of factors. Buildings are physically inspected and unit although rates based on square meters could be supported from the market evidence, extensive professional judgement, and condition and consumption rates etc. impact significantly on the final value determination of fair value. As such these assets are classified as having being valued using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Consumption rate
- Future Economic Benefits
- Condition
- Useful Life of an asset

The 'Cost Approach' is used to value specialised buildings

Other structures, swimming pools, open space and recreation:

Council's other structures incorporates the following types of assets;

- Significant single assets such as swimming pools, playgrounds, floodlighting system, tennis courts, tennis shelters, grandstands etc. and
- Aggregated lower value assets such as recreational / park infrastructures (picnic tables, seats, bollards, fences BBQs etc.)

Council carries fair value of other structures assets (non-componentised) using Level 3 inputs. Such valuations are under taken by Council Staff or by an external valuer depending on the structure.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

The "Cost Approach" is used to value other structures

Water supply network

Council's Water Supply Network incorporates:

- Water Lines
- Water Meters
- Pumping Stations
- Reservoirs

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are under taken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 27. Fair value measurement (continued)

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

The “Cost Approach” is used to value other structures

Sewerage network

Council's Sewerage Network incorporates:

- Sewer Lines
- Pump Stations
- Sewer Treatment Plant

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are under taken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 27. Fair value measurement (continued)

\$ '000

(4). Fair value measurements using significant unobservable inputs (level 3)

a. The following tables present the changes in level 3 fair value asset classes.

	IPP & E	Total
Balance on transfer from former Councils	506,013	506,013
Purchases (GBV)	19,930	19,930
Disposals (WDV)	(751)	(751)
Depreciation and impairment	(16,067)	(16,067)
Fair Value Changes	(13,052)	(13,052)
Other movement	(379)	(379)
Closing balance – 30/6/17	495,694	495,694

continued on next page...

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 27. Fair value measurement (continued)

(4). Fair value measurements using significant unobservable inputs (level 3)

b. Significant unobservable valuation inputs (for level 3 asset classes) & their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various level 3 asset class fair values.

I,PP&E

Class	Fair value (30/6/17) \$'000	Valuation technique/s	Unobservable inputs
Plant & Equipment	\$13,652	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Office Equipment	\$429	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Community land	\$7,896	Land Values obtained from NSW Valuer General	Land Value, Land area
Land Improvements	\$131	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Building Specialised	\$37,225	Cost used to approximate fair value	Cost per sq metre, consumption rate. Condition, useful life
Other Structures	\$3,732	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Roads	\$229,373	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bridges	\$27,261	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Footpaths	\$5,266	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bulk Earthworks	\$95,290	Cost used to approximate fair value	Cost per sq Metre
Stormwater Drainage	\$11,800	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Water Supply Network	\$40,455	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Sewerage Network	\$41,150	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Swimming Pool	\$4,419	Cost used to approximate fair value	Cost per unit
Tip Assets	\$5	Cost used to approximate fair value	Unit Rates
Quarry Assets	\$346	Cost used to approximate fair value	Unit Rates

c. The valuation process for level 3 fair value measurements

The valuation processes used for Level 3 assets are described above. The valuation processes are decided by management with valuation movements reviewed by assets and finance staff.

(5). Highest and best use

All of Council's non-financial assets are considered to being utilised for their highest and best use.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 28. Related party disclosures

\$ '000

This note doesn't not apply to Hilltops Council due to the reporting period commencing prior to 1/7/2017

Note 29. Local Government amalgamation

\$ '000

Notes

The local government (Council Amalgamations) Proclamation 2016 ('the Proclamation') under the Local Government Act 1993 (NSW) transferred the assets and liabilities of the former councils Boorowa Council, Harden Shire Council and Young Shire Council to Hilltops Council as at 12 May 2016.

Gain on local government amalgamation

Actual
13/5/16
to 30/6/17

Assets and liabilities transferred from former councils	a	566,681
Accounting policy adjustments	b	—
		<u>566,681</u>

a. Assets and liabilities transferred from former councils

(i) Carrying amount of assets and liabilities transferred

Assets and liabilities of:

- Boorowa Shire Council
- Harden Shire Council and
- Young Shire Council
- South West Regional Library

have been recognised by Council.

Council believes the carrying amounts are not materially different from their fair values as at the date of transfer 13 May 2016.

The fair value of the net assets has been shown as a gain on local government amalgamation in the income statement and further information is provided on the next page.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 29. Local Government amalgamation (continued)

\$ '000

a. Assets and liabilities transferred from former councils (continued)

(i) Carrying amount of assets and liabilities transferred (continued)

	Boorowa	Harden	Young	South West Regional Library	Gain on local government amalgamation
ASSETS					
Current assets					
Cash and cash equivalents	3,882	1,626	3,579	226	9,313
Investments	4,048	6,400	15,050	–	25,498
Receivables	2,255	3,490	7,402	2	13,149
Inventories	195	163	167	–	525
Other	103	11	125	–	239
Total current assets	10,483	11,690	26,323	228	48,724
Non-current assets					
Investments	–	–	–	–	–
Receivables	–	–	–	–	–
Inventories	–	–	–	–	–
Infrastructure, property, plant and equipment	156,045	177,830	216,221	194	550,290
Investment property	–	–	–	–	–
Intangible assets	–	–	–	–	–
Other	–	–	–	–	–
Total non-current assets	156,045	177,830	216,221	194	550,290
TOTAL ASSETS	166,528	189,520	242,544	422	599,014
LIABILITIES					
Current liabilities					
Payables (excluding bank overdraft)	554	1,280	4,149	5	5,988
Bank overdraft	–	204	–	–	204
Borrowings	329	196	1,679	–	2,204
Provisions	1,446	2,278	2,679	33	6,436
Total current liabilities	2,329	3,958	8,507	38	14,832
Non-current liabilities					
Payables	–	110	–	–	110
Income received in advance	–	–	–	–	–
Borrowings	1,964	311	13,142	–	15,417
Provisions	1,061	264	649	–	1,974
Total non-current liabilities	3,025	685	13,791	–	17,501
TOTAL LIABILITIES	5,354	4,643	22,298	38	32,333
Net assets transferred	161,174	184,877	220,246	384	566,681

Hilltops Council

Notes to the Financial Statements for the period 13 May 2016 to 30 June 2017

Note 29. Local Government amalgamation (continued)

\$ '000

(ii) Adjustments between former council carrying amount of assets and fair values recognised

Council made no adjustments to the carrying amount of the assets and liabilities received as part of the amalgamation in order.

(iii) Rates and Non-Reciprocal Grants income

The rates and non-reciprocal grants revenue for the period from 13 May 2016 to 30 June 2016 were recorded in the financial statements of the former councils in accordance with AASB 1004 Contributions.

The assets transferred to Council include a portion of rates and non-reciprocal grants that were received but related to the period after the former councils ceased to exist.

Hilltops Council

Notes to the Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 30. Council information and contact details

Principal place of business:

189 Boorowa Street
Young NSW 2594

Contact details

Mailing address:

Locked Bag 5
Young NSW 2594

Opening hours:

8.30am - 5.00pm Monday to Friday

Telephone: 02 63801200

Facsimile: 02 63801299

Internet: www.hilltops.nsw.gov.au

Email: mail@hilltops.nsw.gov.au

Officers

GENERAL MANAGER

Anthony McMahon

RESPONSIBLE ACCOUNTING OFFICER

Judy Jordan

PUBLIC OFFICER

Lee Furness

AUDITORS

NSW Audit Office

Elected members

MAYOR

Brian Ingram

COUNCILLORS

Tony Wallace (Deputy mayor)

Greg Armstrong

Tony Flanery

John Horton

Chris Manchester

Rita O'Connor

Margaret Roles

Matthew Stadtmiller

Wendy Tuckerman

John Walker

Other information

ABN: 31 984 256 429



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying financial statements of Hilltops Council (the Council), which comprise the statement of financial position as at 30 June 2017, the income statement, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the period 13 May 2016 to 30 June 2017, notes comprising a summary of significant accounting policies and other explanatory information, and the Statement by Councillors and Management.

In my opinion,

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been presented, in all material respects, in accordance with the requirements of this Division
 - are consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2017, and of its financial performance and its cash flows for the period 13 May 2016 to 30 June 2017 in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

The Councillors' Responsibility for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors must assess the Council's ability to continue as a going concern except where the Council will be dissolved or amalgamated by an Act of Parliament. The assessment must disclose, as applicable, matters related to going concern and the appropriateness of using the going concern basis of accounting.

Auditor's Responsibility for the Audit of the Financial Statements

My objectives are to:

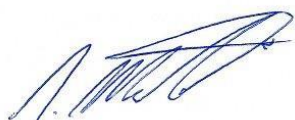
- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar3.pdf. The description forms part of my auditor's report.

My opinion does *not* provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, Note 2(a) and Note 16 budget variation explanations
- on the attached Special Schedules
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Steven Martin
Assistant Auditor-General, Financial Audit

29 November 2017
SYDNEY

Brian Ingram
Mayor
Hilltops Council
Locked Bag 5
YOUNG NSW 2594

Contact: Lawrissa Chan
Phone no: 02 9275 7255
Our ref: D1730455/1740

29 November 2017

Dear Cr Ingram

Report on the Conduct of the Audit for the Period 13 May 2016 to 30 June 2017 Hilltops Council

We have audited the general purpose financial statements of Hilltops Council (the Council) for the period 13 May 2016 to 30 June 2017 as required by section 415 of the *Local Government Act 1993* (the Act). We expressed an unmodified opinion on the Council's general purpose financial statements.

This Report on the Conduct of the Audit (the Report) for the Council for the period 13 May 2016 to 30 June 2017 is issued in accordance with section 417 of the Act. Section 417(3) requires us to consider and report on matters pertinent to the Council's financial statements and audit. This Report should be read in conjunction with our audit opinion on the general purpose financial statements issued under section 417(2) of the Act.

INCOME STATEMENT

The operating results represent council's activities for the period 13 May 2016 to 30 June 2017.

Operating result

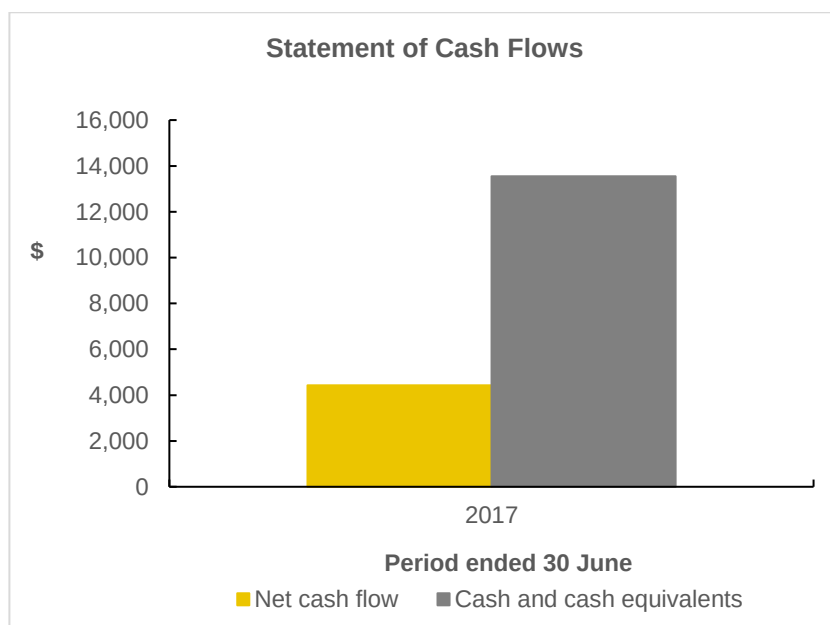
	2017 \$'000
Rates and annual charges	20,913
Grants and contributions (capital and operational)	47,051
Operating result for the period	1,767
Net result for the period (after assets and liabilities transferred from former Councils)	568,448
Net operating result before capital amounts	(16,975)

The following comments are made in respect of Council's operating result for the period:

- Council's operating surplus for the period was \$1.8 million. The operating result for the period included revenue from rates and annual charges of \$20.9 million, user charges and fees of \$14.1 million, grants and contributions of \$47.1 million and expenses for employee benefits and on-costs of \$19.9 million and materials and contracts of \$19.9 million.
- Council recorded a net result for the period after assets and liabilities transferred from former councils of \$568 million.
- The net operating result before capital contributions was a deficit of \$17.0 million.
- Grants and contributions provided for operating purposes were \$28.3 million. Grant income included a \$5.0 million Merger Implementation Grant and \$15 million Stronger Communities Grant, which are both non-recurring. In addition, Council received \$11.1 million Financial Assistance Grants, of which \$3.7 million related to 2017–18 and booked as income in June 2017.
- Council's depreciation and amortisation expense for the period ended 30 June 2017 was \$16 million.
- There was a fair value decrement of \$12.7 million from the valuation of the sewerage network

STATEMENT OF CASH FLOWS

- Council recorded a net increase in cash and cash equivalents of \$4.4 million in 2017 before cash transferred on amalgamation. Cash transferred on amalgamation of former Councils was \$9.1 million.
- Net cash provided by operating activities amounted to \$40.2 million. Council recorded \$16.7 million cash receipts from user charges and fees, \$46.1 million cash receipts from grants and contributions, \$23.4 million in cash payments for materials and contracts and \$20.2 million in cash payments on employee benefits and on-costs.
- Net cash used in investing activities totalled \$37.1 million. This is largely due to \$22.5 million in payments for the purchase of infrastructure, property, plant and equipment and \$16 million for the purchase of investment securities.



FINANCIAL POSITION

Cash and Investments

Restricted Cash and Investments	2017	Commentary
	\$'000	
External restrictions	23,498	Externally restricted cash and investments are restricted in their use by externally imposed requirements. Externally restricted cash includes \$1.1 million of specific purpose unexpended grants.
Internal restrictions	30,757	
Unrestricted	740	
Cash and investments	54,995	- Internally restricted cash and investments have been restricted in their use by resolution or policy of Council to reflect identified programs of works and any forward plans identified by Council. Internally restricted cash includes: \$14.1 million for Stronger council funds \$3.7 million for Implementation funding \$3.8 million for the Financial Assistance Grant advance payment \$3.2 million for employee leave entitlements \$2 million for infrastructure replacement

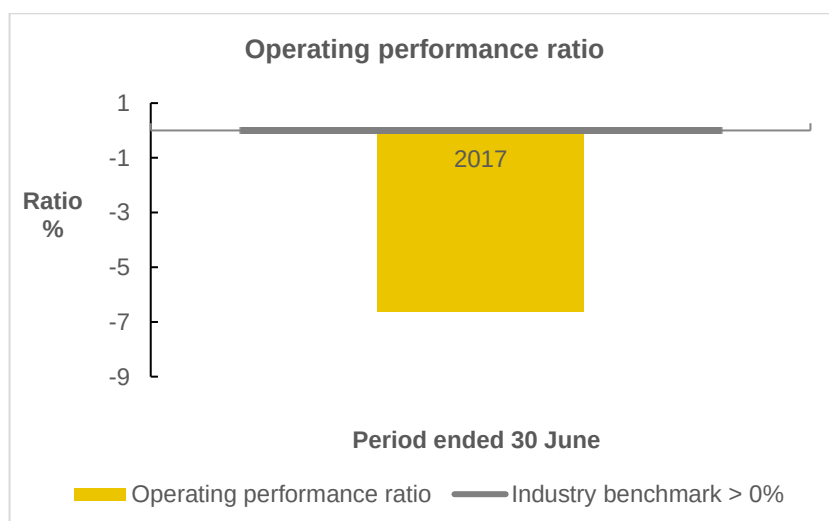
Debt

- The Council had borrowings of \$19.0 million at 30 June 2017. All loans are secured over general rating income of Council.

PERFORMANCE RATIOS

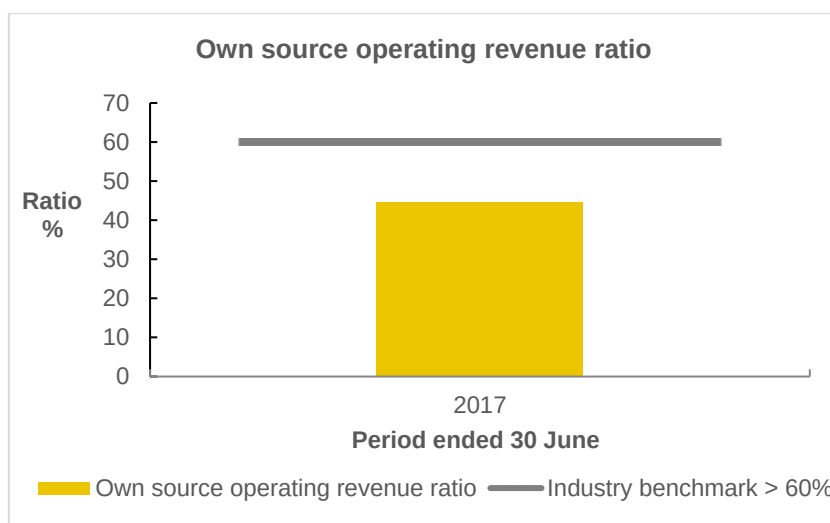
Operating performance ratio

- The 'operating performance ratio' measures how well Council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and revaluation decrements). The benchmark set by the Office of Local Government (OLG) is greater than 0 per cent.
- The operating performance ratio was -6.64% which is below the industry benchmark of 0%.
- The operating performance ratio was impacted by the receipt of \$3.7 million Financial Assistance Grants for 2017–18 received in June 2017 and \$5.0 million for the New Council Implementation Fund received during the year.



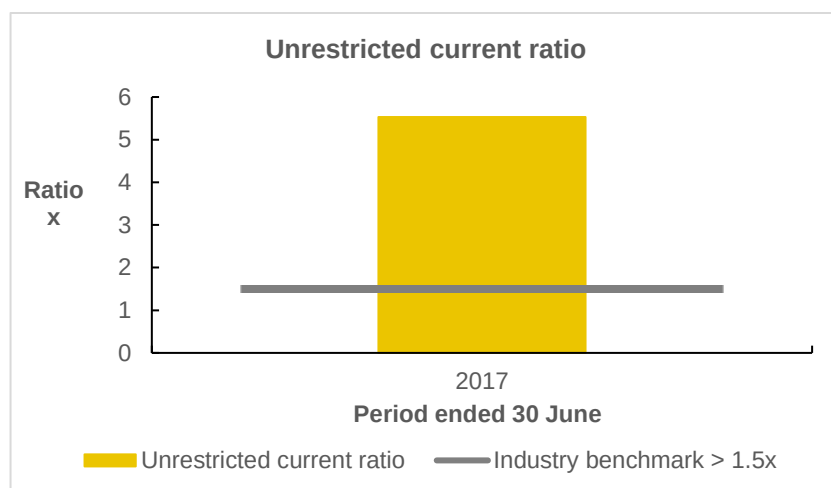
Own source operating revenue ratio

- The 'own source operating revenue ratio' measures Council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.
- The own source operating revenue ratio of 44.59% is below the industry benchmark of 60%.
- This is largely due to the level of grant activity at Council during the period. Council received \$15 million for the Stronger Communities Fund, \$5.0 million for the New Council Implementation Fund and \$3.7 million Financial Assistance Grant for 2017-18, which was recorded as income in June 2017.



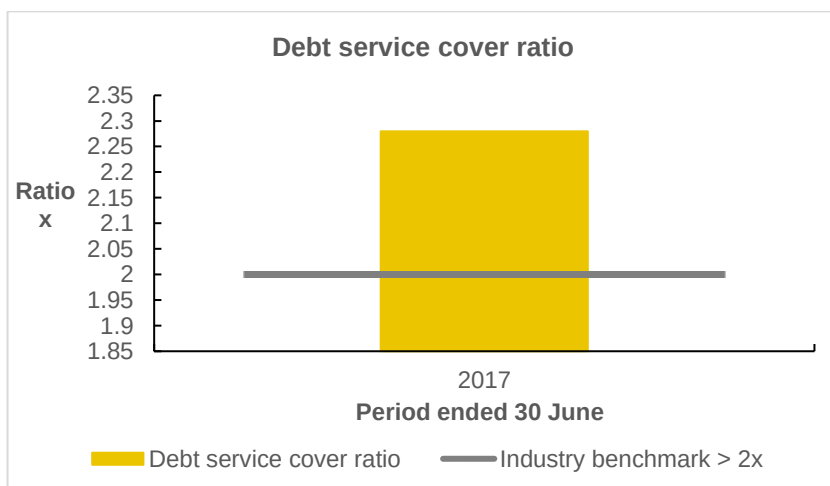
Unrestricted current ratio

- The 'unrestricted current ratio' is specific to local government and represents Council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.
- The Council's liquidity ratio of 5.53 times is greater than the industry benchmark minimum of > 1.5 times.
- This indicates that Council has sufficient liquidity to meet its current liabilities as and when they fall due.



Debt service cover ratio

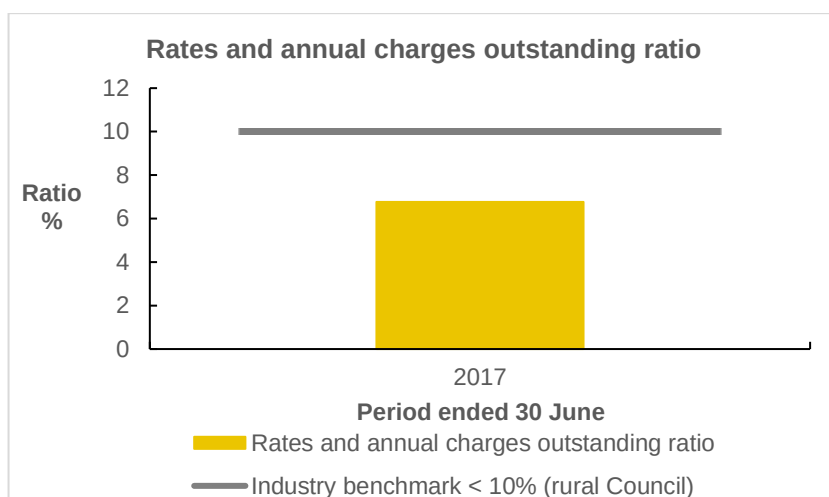
- The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than 2 times.
- This Council's debt service cover ratio of 2.28 times is greater than the industry benchmark of > 2 times.
- Council generates sufficient cash from its operations to fund its debt obligations.



Rates and annual charges outstanding ratio

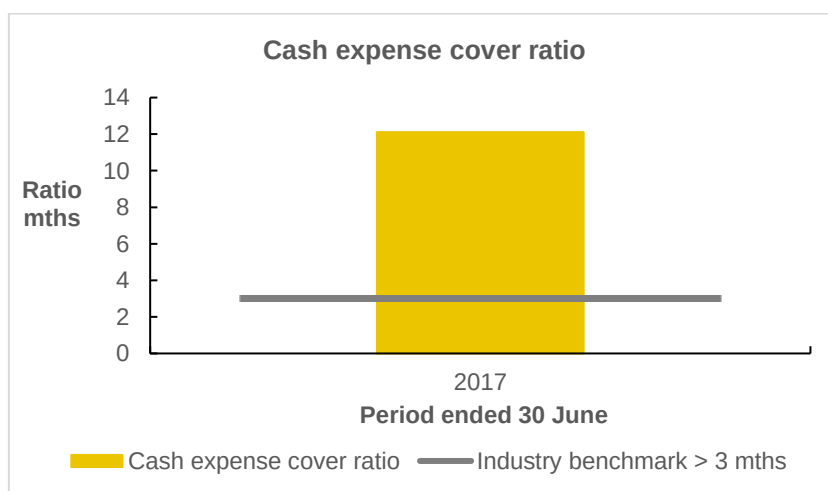
- The 'rates and annual charges outstanding ratio' assesses the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is less than 10 per cent for rural councils.
- The Council's rates and annual charges outstanding ratio of 6.76% is within the benchmark for rural councils of < 10%.

This indicates that Council's rate recovery measures are effective in collecting and reducing outstanding debts.



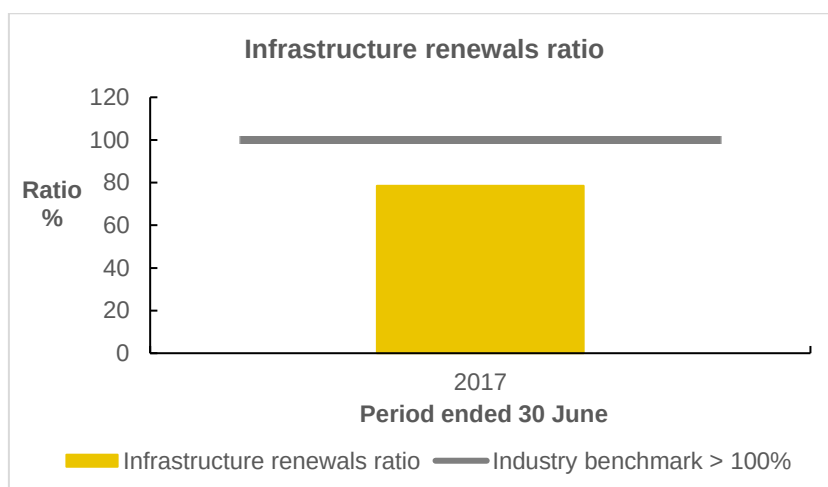
Cash expense cover ratio

- This liquidity ratio indicates the number of months the Council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.
- The Council's cash expense cover ratio was 12.11 months, which is above the industry benchmark of > 3 months.
- This indicates that Council had the capacity to cover 12.11 months of cash expenditure without additional cash inflows at 30 June 2017.



Building and infrastructure renewals ratio

- The 'building and infrastructure renewals ratio' represents the rate at which assets are being renewed relative to the rate at which they are depreciating.
- The ratio of 78.57 per cent is below the industry benchmark of greater than 100 per cent.
- Council need to be aware of the deteriorating impact on infrastructure assets if this underperformance is sustained over an extended period.



Other Matters

Legislative compliance

Our audit procedures did not identify any instances of non-compliance with legislative requirements or a material deficiency in the Council's accounting records or financial reports. The Council's:

- accounting records were maintained in a manner and form to allow the general purpose financial statements to be prepared and effectively audited
- staff provided all accounting records and information relevant to the audit.



Steven Martin
Assistant Auditor-General, Financial Audit

29 November 2017
SYDNEY

cc: Anthony McMahon, General Manager
Andrew Fletcher, Chair of Audit and Risk Improvement Committee
Judy Jordan, Chief Financial Officer

Hilltops Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the period 13 May 2016 to 30 June 2017



Hilltops Council

Special Purpose Financial Statements

for the period 13 May 2016 to 30 June 2017

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Background

- (i) These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
 - (ii) The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.
 - (iii) For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).
 - (iv) In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).
-

Hilltops Council

Special Purpose Financial Statements

for the period 13 May 2016 to 30 June 2017

Statement by Councillors and Management

made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached Special Purpose Financial Statements have been prepared in accordance with:

- the NSW Government Policy Statement 'Application of National Competition Policy to Local Government',
- the Division of Local Government Guidelines 'Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality',
- the Local Government Code of Accounting Practice and Financial Reporting,
- the NSW Office of Water Best-Practice Management of Water and Sewerage Guidelines.

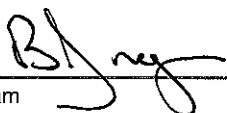
To the best of our knowledge and belief, these financial statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the period 13 May 2016 to 30 June 2017, and
- accord with Council's accounting and other records.

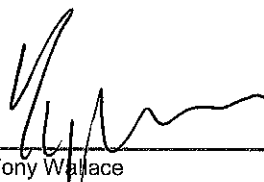
We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 25 October 2017.

Brian Ingram
Mayor



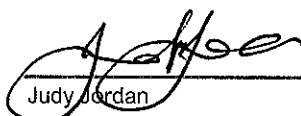
Tony Wallace
Councillor



Anthony McMahon
General Manager



Judy Jordan
Responsible accounting officer



Hilltops Council

Income Statement of Council's Water Supply Business Activity

for the period 13 May 2016 to 30 June 2017

	Actual 13/5/16 to 30/6/17
\$ '000	
Income from continuing operations	
Access charges	2,569
User charges	4,534
Fees	86
Interest	253
Grants and contributions provided for non-capital purposes	83
Profit from the sale of assets	364
Share of profit from equity accounted investment	–
Other income	34
Total income from continuing operations	7,923
Expenses from continuing operations	
Employee benefits and on-costs	1,093
Borrowing costs	2
Materials and contracts	959
Depreciation, amortisation and impairment	2,483
Water purchase charges	4,050
Calculated taxation equivalents	–
Debt guarantee fee (if applicable)	–
Other expenses	–
Total expenses from continuing operations	8,587
Surplus (deficit) from continuing operations before capital amounts	(664)
Grants and contributions provided for capital purposes	103
Surplus (deficit) from continuing operations after capital amounts	(561)
Surplus (deficit) from discontinued operations	–
Surplus (deficit) from all operations before tax	(561)
Less: corporate taxation equivalent (30%) [based on result before capital]	–
SURPLUS (DEFICIT) AFTER TAX	(561)
Plus Assets and liabilities transferred from former councils	51,951
Plus adjustments for amounts unpaid:	
– Taxation equivalent payments	–
– Debt guarantee fees	–
– Corporate taxation equivalent	–
Less:	
– Tax equivalent dividend paid	–
– Surplus dividend paid	–
Closing retained profits	51,390
Return on capital %	-1.6%
Subsidy from Council	1,637
Calculation of dividend payable:	
Surplus (deficit) after tax	(561)
Less: capital grants and contributions (excluding developer contributions)	(103)
Surplus for dividend calculation purposes	–
Potential dividend calculated from surplus	–

Hilltops Council

Income Statement of Council's Sewerage Business Activity

for the period 13 May 2016 to 30 June 2017

	Actual 13/5/16 to 30/6/17
\$ '000	
Income from continuing operations	
Access charges	3,603
User charges	364
Liquid trade waste charges	15
Fees	41
Interest	174
Grants and contributions provided for non-capital purposes	64
Profit from the sale of assets	–
Share of profit from equity accounted investment	–
Other income	–
Total income from continuing operations	4,261
Expenses from continuing operations	
Employee benefits and on-costs	747
Borrowing costs	707
Materials and contracts	1,182
Depreciation, amortisation and impairment	1,693
Calculated taxation equivalents	–
Debt guarantee fee (if applicable)	–
Other expenses	12,489
Total expenses from continuing operations	16,818
Surplus (deficit) from continuing operations before capital amounts	(12,557)
Grants and contributions provided for capital purposes	659
Surplus (deficit) from continuing operations after capital amounts	(11,898)
Surplus (deficit) from discontinued operations	–
Surplus (deficit) from all operations before tax	(11,898)
Less: corporate taxation equivalent (30%) [based on result before capital]	–
SURPLUS (DEFICIT) AFTER TAX	(11,898)
Plus Assets and liabilities transferred from former councils	49,790
Plus/less: prior period adjustments	(661)
Plus adjustments for amounts unpaid:	
– Taxation equivalent payments	–
– Debt guarantee fees	–
– Corporate taxation equivalent	–
Less:	
– Tax equivalent dividend paid	–
– Surplus dividend paid	–
Closing retained profits	37,231
Return on capital %	-28.1%
Subsidy from Council	12,854
Calculation of dividend payable:	
Surplus (deficit) after tax	(11,898)
Less: capital grants and contributions (excluding developer contributions)	(659)
Surplus for dividend calculation purposes	–
Potential dividend calculated from surplus	–

Hilltops Council

Income Statement of Council's Other Business Activities

for the period 13 May 2016 to 30 June 2017

	South West Regional Waste Management Group Category 2	South West Rural Fire Zone Category 2
\$ '000	Actual 13/5/16 to 30/6/17	Actual 13/5/16 to 30/6/17
Income from continuing operations		
Access charges	—	—
User charges	—	—
Fees	—	—
Interest	49	—
Grants and contributions provided for non-capital purposes	2,024	83
Profit from the sale of assets	—	—
Share of profit from equity accounted investment	—	—
Other income	—	—
Total income from continuing operations	2,073	83
Expenses from continuing operations		
Employee benefits and on-costs	27	—
Borrowing costs	1	—
Materials and contracts	1,365	69
Depreciation, amortisation and impairment	136	—
Calculated taxation equivalents	—	—
Debt guarantee fee (if applicable)	—	—
Other expenses	1	14
Total expenses from continuing operations	1,530	83
Surplus (deficit) from continuing operations before capital amounts	543	—
Grants and contributions provided for capital purposes	—	—
Surplus (deficit) from continuing operations after capital amounts	543	—
Surplus (deficit) from discontinued operations	—	—
Surplus (deficit) from all operations before tax	543	—
Less: corporate taxation equivalent (30%) [based on result before capital]	(163)	—
SURPLUS (DEFICIT) AFTER TAX	380	—
Plus Assets and liabilities transferred from former councils	2,716	188
Plus adjustments for amounts unpaid:		
– Taxation equivalent payments	—	—
– Debt guarantee fees	—	—
– Corporate taxation equivalent	163	—
Add:		
– Subsidy paid/contribution to operations	—	—
Less:		
– TER dividend paid	—	—
– Dividend paid	—	—
Closing retained profits	3,259	188
Return on capital %	70.3%	n/a
Subsidy from Council	—	—

Hilltops Council

Statement of Financial Position – Council's Water Supply Business Activity
as at 30 June 2017

	Actual 2017
\$ '000	
ASSETS	
Current assets	
Cash and cash equivalents	2,652
Investments	6,718
Receivables	1,251
Inventories	–
Other	–
Non-current assets classified as held for sale	–
Total current assets	10,621
Non-current assets	
Investments	–
Receivables	–
Inventories	–
Infrastructure, property, plant and equipment	40,950
Investments accounted for using equity method	–
Investment property	–
Intangible assets	–
Other	–
Total non-current assets	40,950
TOTAL ASSETS	51,571
LIABILITIES	
Current liabilities	
Bank overdraft	–
Payables	100
Income received in advance	–
Borrowings	–
Provisions	81
Total current liabilities	181
Non-current liabilities	
Payables	–
Borrowings	–
Provisions	–
Total non-current liabilities	–
TOTAL LIABILITIES	181
NET ASSETS	51,390
EQUITY	
Retained earnings	51,390
Revaluation reserves	–
Other reserves	–
TOTAL EQUITY	51,390

Hilltops Council

Statement of Financial Position – Council's Sewerage Business Activity
as at 30 June 2017

	Actual 2017
\$ '000	
ASSETS	
Current assets	
Cash and cash equivalents	1,751
Investments	5,651
Receivables	455
Inventories	–
Other	–
Non-current assets classified as held for sale	–
Total current Assets	7,857
Non-current assets	
Investments	–
Receivables	–
Inventories	–
Infrastructure, property, plant and equipment	42,183
Investments accounted for using equity method	–
Investment property	–
Intangible assets	–
Other	–
Total non-current assets	42,183
TOTAL ASSETS	50,040
LIABILITIES	
Current liabilities	
Bank overdraft	–
Payables	111
Income received in advance	–
Borrowings	–
Provisions	50
Total current liabilities	161
Non-current liabilities	
Payables	–
Borrowings	12,648
Provisions	–
Total non-current liabilities	12,648
TOTAL LIABILITIES	12,809
NET ASSETS	37,231
EQUITY	
Retained earnings	37,231
Revaluation reserves	–
Other reserves	–
TOTAL EQUITY	37,231

Hilltops Council

Statement of Financial Position – Council's Other Business Activities

as at 30 June 2017

	South West Regional Waste Management Group Category 2	South West Rural Fire Zone Category 2
\$ '000	Actual 2017	Actual 2017
ASSETS		
Current assets		
Cash and cash equivalents	2,327	11
Investments	–	–
Receivables	158	177
Inventories	–	–
Other	–	–
Non-current assets classified as held for sale	–	–
Total Current Assets	2,485	188
Non-current assets		
Investments	–	–
Receivables	–	–
Inventories	–	–
Infrastructure, property, plant and equipment	774	–
Investments accounted for using equity method	–	–
Investment property	–	–
Intangible assets	–	–
Other	–	–
Total non-current assets	774	–
TOTAL ASSETS	3,259	188
LIABILITIES		
Current liabilities		
Bank overdraft	–	–
Payables	–	–
Income received in advance	–	–
Borrowings	–	–
Provisions	–	–
Total current liabilities	–	–
Non-current liabilities		
Payables	–	–
Borrowings	–	–
Provisions	–	–
Total non-current liabilities	–	–
TOTAL LIABILITIES	–	–
NET ASSETS	3,259	188
EQUITY		
Retained earnings	3,259	188
Revaluation reserves	–	–
Other reserves	–	–
TOTAL EQUITY	3,259	188

Hilltops Council

Special Purpose Financial Statements

for the period 13 May 2016 to 30 June 2017

Contents of the notes accompanying the financial statements

Note	Details	Page
1	Summary of significant accounting policies	10
2	Water Supply Business Best-Practice Management disclosure requirements	13
3	Sewerage Business Best-Practice Management disclosure requirements	15

Hilltops Council

Notes to the Special Purpose Financial Statements for the period 13 May 2016 to 30 June 2017

Note 1. Significant accounting policies

A statement summarising the supplemental accounting policies adopted in the preparation of the Special Purpose Financial Statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these Special Purpose Financial Statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these Special Purpose Financial Statements have been prepared in accordance with the Local Government Act 1993 (NSW), the Local Government (General) Regulation, and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, current values of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government.

The framework for its application is set out in the June 1996 NSW government policy statement titled 'Application of National Competition Policy to Local Government'.

The Pricing and Costing for Council Businesses, A Guide to Competitive Neutrality issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to

activities and provide a standard for disclosure requirements.

These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, return on investments (rate of return), and dividends paid.

Declared business activities

In accordance with *Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

a. Hilltops Water Supply

Provision of reticulated water to the community of Hilltops.

b. Hilltops Sewerage Services

Provision of sewerage services to the community of Hilltops.

Category 2

(where gross operating turnover is less than \$2 million)

a. South West Slopes Regional Waste Management Group

b. South West Rural Fire Service

Monetary amounts

Amounts shown in the financial statements are in Australian currency and rounded to the nearest thousand dollars, except for Note 2 (Water Supply Best-Practice Management Disclosures) and Note 3 (Sewerage Best-Practice Management Disclosures).

As required by the NSW Office of Water (Department of Primary Industries) the amounts shown in Note 2 and Note 3 are disclosed in whole dollars.

Hilltops Council

Notes to the Special Purpose Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Significant accounting policies (continued)

(i) Taxation-equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs.

However, where Council does not pay some taxes which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in Special Purpose Financial Statements.

For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – 30%

Land tax – the first \$549,000 of combined land values attracts 0%. For the combined land values in excess of \$549,001 up to \$3,357,000 the rate is 1.6% + \$100. For the remaining combined land value that exceeds \$3,357,000 a premium marginal rate of 2.0% applies.

Payroll tax – 5.45% on the value of taxable salaries and wages in excess of \$750,000.

In accordance with the Department of Primary Industries Water (DPIW), a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the NSW Office of Water Guidelines to as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the *Local Government Act, 1993*.

Achievement of substantial compliance to the NSW Office of Water Guidelines is not a prerequisite for the payment of the tax equivalent charges, however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 30%.

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 30% is the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges payable on all category 1 businesses has been applied to all land assets owned or exclusively used by the business activity.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that council business activities face 'true' commercial borrowing costs in line with private sector competitors.

In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(ii) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed.

Hilltops Council

Notes to the Special Purpose Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 1. Significant accounting policies (continued)

Subsidies occur when Council provides services on a less-than-cost-recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations.

Accordingly, 'subsidies disclosed' (in relation to National Competition Policy) represents the difference between revenue generated from 'rate of return' pricing and revenue generated from prices set by Council in any given financial year.

The overall effect of subsidies is contained within the Income Statement of each reported business activity.

(iii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Such funds are subsequently available for meeting commitments or financing future investment strategies.

The actual rate of return achieved by each business activity is disclosed at the foot of each respective Income Statement.

The rate of return is calculated as follows:

Operating result before capital income + interest expense

Written down value of I,PP&E as at 30 June

As a minimum, business activities should generate a return equal to the Commonwealth 10 year bond rate which is 2.38% at 30/6/17.

(iv) Dividends

Council is not required to pay dividends to either itself (as owner of a range of businesses) or to any external entities.

Local government water supply and sewerage businesses are permitted to pay an annual dividend from its water supply or sewerage business surplus.

Each dividend must be calculated and approved in accordance with the DPIW guidelines and must not exceed:

- (i) 50% of this surplus in any one year, or
- (ii) the number of water supply or sewerage assessments at 30 June 2017 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

In accordance with the DPIW guidelines a Dividend Payment form, Statement of Compliance, Unqualified Independent Financial Audit Report and Compliance Audit Report are required to be submitted to the DPIW.

Hilltops Council

Notes to the Special Purpose Financial Statements for the period 13 May 2016 to 30 June 2017

Note 2. Water supply business best-practice management disclosure requirements

Dollars amounts shown below are in whole dollars (unless otherwise indicated)

2017

1. Calculation and payment of tax-equivalents

[all local government local water utilities must pay this dividend for tax equivalents]

(i)	Calculated tax equivalents	–
(ii)	Number of assessments multiplied by \$3/assessment	5,928
(iii)	Amounts payable for tax equivalents [lesser of (i) and (ii)]	–
(iv)	Amounts actually paid for tax equivalents	

2. Dividend from surplus

(i)	50% of surplus before dividends [calculated in accordance with Best-Practice Management for Water Supply and Sewerage Guidelines]	–
(ii)	Number of assessments multiplied by \$30/assessment, less tax equivalent charges/assessment	59,280
(iii)	Cumulative surplus before dividends for the 3 years to 30 June 2017, less the cumulative dividends paid for the 2 years to 13 May 2016 and 30 June 2015	(639,400)

2017 Surplus

(iv)	Maximum dividend from surplus [least of (i), (ii) and (iii) above]	n/a
(v)	Dividend actually paid from surplus [refer below for required pre-dividend payment criteria]	
(vi)	Are the overhead reallocation charges to the water business fair and reasonable? ^a	

3. Required outcomes for 6 criteria

[to be eligible for the payment of a 'dividend from surplus', all the criteria below need a 'YES']

(i)	Completion of strategic business plan (including financial plan)	
(ii)	Full cost recovery, without significant cross subsidies [refer item 2 (a) in table 1 on page 22 of the Best-Practice Guidelines]	
	– Complying charges [item 2 (b) in table 1]	
	– DSP with commercial developer charges [item 2 (e) in table 1]	
	– If dual water supplies, complying charges [item 2 (g) in table 1]	
(iii)	Sound water conservation and demand management implemented	
(iv)	Sound drought management implemented	
(v)	Complete performance reporting form (by 15 September each year)	
(vi)	a. Integrated water cycle management evaluation	
	b. Complete and implement integrated water cycle management strategy	

Hilltops Council

Notes to the Special Purpose Financial Statements for the period 13 May 2016 to 30 June 2017

Note 2. Water supply business best-practice management disclosure requirements (continued)

Dollars amounts shown below are in whole dollars (unless otherwise indicated)

2017

National Water Initiative (NWI) financial performance indicators

NWI F1	Total revenue (water) Total income (w13) – grants for the acquisition of assets (w11a) – interest income (w9) – Aboriginal Communities W&S Program income (w10a)	\$'000	7,426
NWI F4	Revenue from residential usage charges (water) Income from residential usage charges (w6b) x 100 divided by the sum of [income from residential usage charges (w6a) + income from residential access charges (w6b)]	%	61.95%
NWI F9	Written down replacement cost of fixed assets (water) Written down current cost of system assets (w47)	\$'000	40,455
NWI F11	Operating cost (OMA) (water) Management expenses (w1) + operational and maintenance expenses (w2)	\$'000	6,113
NWI F14	Capital expenditure (water) Acquisition of fixed assets (w16)	\$'000	430
NWI F17	Economic real rate of return (water) [total income (w13) – interest income (w9) – grants for acquisition of assets (w11a) – operating costs (NWI F11) – current cost depreciation (w3)] x 100 divided by [written down current cost of system assets (w47) + plant and equipment (w33b)]	%	-0.69%
NWI F26	Capital works grants (water) Grants for the acquisition of assets (w11a)	\$'000	–

- Notes:
- References to w (e.g. w12) refer to item numbers within Special Schedules 3 and 4 of Council's Annual Financial Statements.
 - The NWI performance indicators are based upon the National Performance Framework Handbook for Urban Performance Reporting Indicators and Definitions.
 - refer to 3.2 (2) on page 15 of the Best-Practice Management of Water Supply and Sewerage Guidelines, 2007

Hilltops Council

Notes to the Special Purpose Financial Statements for the period 13 May 2016 to 30 June 2017

Note 3. Sewerage business best-practice management disclosure requirements

Dollars amounts shown below are in whole dollars (unless otherwise indicated)

2017

1. Calculation and payment of tax-equivalents

[all local government local water utilities must pay this dividend for tax equivalents]

(i)	Calculated tax equivalents	–
(ii)	Number of assessments multiplied by \$3/assessment	3,198
(iii)	Amounts payable for tax equivalents [lesser of (i) and (ii)]	–
(iv)	Amounts actually paid for tax equivalents	

2. Dividend from surplus

(i)	50% of surplus before dividends [calculated in accordance with Best-Practice Management for Water Supply and Sewerage Guidelines]	–
(ii)	Number of assessments x (\$30 less tax equivalent charges per assessment)	31,980
(iii)	Cumulative surplus before dividends for the 3 years to 30 June 2017, less the cumulative dividends paid for the 2 years to 13 May 2016 and 30 June 2015	(11,484,900)

2017 Surplus

(iv)	Maximum dividend from surplus [least of (i), (ii) and (iii) above]	n/a
(v)	Dividend actually paid from surplus [refer below for required pre-dividend payment criteria]	
(vi)	Are the overhead reallocation charges to the sewer business fair and reasonable? ^a	

3. Required outcomes for 4 criteria

[to be eligible for the payment of a 'dividend from surplus', all the criteria below need a 'YES']

(i)	Completion of strategic business plan (including financial plan)	
(ii)	Pricing with full cost-recovery, without significant cross subsidies [refer item 2 (a) in table 1 on page 22 of the Best-Practice Guidelines]	
	Complying charges	
	(a) Residential [item 2 (c) in table 1]	
	(b) Non-residential [item 2 (c) in table 1]	
	(c) Trade waste [item 2 (d) in table 1]	
	DSP with commercial developer charges [item 2 (e) in table 1]	
	Liquid trade waste approvals and policy [item 2 (f) in table 1]	
(iii)	Complete performance reporting form (by 15 September each year)	
(iv)	a. Integrated water cycle management evaluation	
	b. Complete and implement integrated water cycle management strategy	

Hilltops Council

Notes to the Special Purpose Financial Statements for the period 13 May 2016 to 30 June 2017

Note 3. Sewerage business best-practice management disclosure requirements (continued)

Dollars amounts shown below are in whole dollars (unless otherwise indicated)

2017

National Water Initiative (NWI) financial performance indicators

NWI F2	Total revenue (sewerage) Total income (s14) – grants for acquisition of assets (s12a) – interest income (s10) – Aboriginal Communities W&S Program income (w10a)	\$'000	4,166
NWI F10	Written down replacement cost of fixed assets (sewerage) Written down current cost of system assets (s48)	\$'000	41,150
NWI F12	Operating cost (sewerage) Management expenses (s1) + operational and maintenance expenses (s2)	\$'000	1,811
NWI F15	Capital expenditure (sewerage) Acquisition of fixed assets (s17)	\$'000	13
NWI F18	Economic real rate of return (sewerage) [total income (s14) – interest income (s10) – grants for acquisition of assets (s12a) – operating cost (NWI F12) – current cost depreciation (s3)] x 100 divided by [written down current cost (i.e. WDCC) of system assets (s48) + plant and equipment (s34b)]	%	2.52%
NWI F27	Capital works grants (sewerage) Grants for the acquisition of assets (12a)	\$'000	581

National Water Initiative (NWI) financial performance indicators Water and sewer (combined)

NWI F3	Total income (water and sewerage) Total income (w13 + s14) + gain/loss on disposal of assets (w14 + s15) minus grants for acquisition of assets (w11a + s12a) – interest income (w9 + s10)	\$'000	11,592
NWI F8	Revenue from community service obligations (water and sewerage) Community service obligations (NWI F25) x 100 divided by total income (NWI F3)	%	1.21%
NWI F16	Capital expenditure (water and sewerage) Acquisition of fixed assets (w16 + s17)	\$'000	443
NWI F19	Economic real rate of return (water and sewerage) [total income (w13 + s14) – interest income (w9 + s10) – grants for acquisition of assets (w11a + s12a) – operating cost (NWI F11 + NWI F12) – current cost depreciation (w3 + s3)] x 100 divided by [written down replacement cost of fixed assets (NWI F9 + NWI F10) + plant and equipment (w33b + s34b)]	%	0.94%
NWI F20	Dividend (water and sewerage) Dividend paid from surplus (2 (v) of Note 2 + 2 (v) of Note 3)	\$'000	–
NWI F21	Dividend payout ratio (water and sewerage) Dividend (NWI F20) x 100 divided by net profit after tax (NWI F24)	%	0.00%

Hilltops Council

Notes to the Special Purpose Financial Statements

for the period 13 May 2016 to 30 June 2017

Note 3. Sewerage business

best-practice management disclosure requirements (continued)

Dollars amounts shown below are in whole dollars (unless otherwise indicated)

2017

National Water Initiative (NWI) financial performance indicators

Water and sewer (combined)

NWI F22	Net debt to equity (water and sewerage)	%	-4.65%
	Overdraft (w36 + s37) + borrowings (w38 + s39) – cash and investments (w30 + s31) x 100 divided by [total assets (w35 + s36) – total liabilities (w40 + s41)]		
NWI F23	Interest cover (water and sewerage)		3
	Earnings before interest and tax (EBIT) divided by net interest		
	Earnings before interest and tax (EBIT):		782
	Operating result (w15a + s16a) + interest expense (w4a + s4a) – interest income (w9 + s10) – gain/loss on disposal of assets (w14 + s15) + miscellaneous expenses (w4b + w4c + s4b + s4c)		
	Net interest:		302
	Interest expense (w4a + s4a) – interest income (w9 + s10)		
NWI F24	Net profit after tax (water and sewerage)	\$'000	(13,040)
	Surplus before dividends (w15a + s16a) – tax equivalents paid (Note 2-1 (iv) + Note 3-1 (iv))		
NWI F25	Community service obligations (water and sewerage)	\$'000	140
	Grants for pensioner rebates (w11b + s12b)		

- Notes:
- References to w (eg. s12) refer to item numbers within Special Schedules 5 and 6 of Council's Annual Financial Statements.
 - The NWI performance indicators are based upon the National Performance Framework Handbook for Urban Performance Reporting Indicators and Definitions.
 - refer to 3.2 (2) on page 15 of the Best-Practice Management of Water Supply and Sewerage Guidelines, 2007



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial statement

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of Hilltops Council's (the Council) Declared Business Activities, which comprise the statement of financial position of each Declared Business Activity as at 30 June 2017, the income statement of each Declared Business Activity for the period 13 May 2016 to 30 June 2017, notes comprising a summary of significant accounting policies and other explanatory information for the Business Activities declared by Council, and the Statement by Councillors and Management.

The Declared Business Activities of the Council are:

- Hilltops Water Supply
- Hilltops Sewerage Services
- South West Slopes Regional Waste Management Group
- South West Rural Fire Service.

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2017, and their financial performance for the period 13 May 2016 to June 2017, in accordance with the Australian Accounting Standards described in Note 1 and the Local Government Code of Accounting Practice and Financial Reporting (LG Code).

My opinion should be read in conjunction with the rest of this report and in particular, the Emphasis of Matter referring to the basis of accounting.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to Note (1) to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

The Councillors' Responsibility for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in Note 1 to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors must assess the Council's ability to continue as a going concern except where the Council will be dissolved or amalgamated by an Act of Parliament. The assessment must disclose, as applicable, matters related to going concern and the appropriateness of using the going concern basis of accounting, as it affects the Council's Declared Business Activities.

Auditor's Responsibility for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

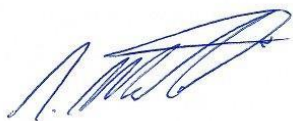
A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at:

http://www.auasb.gov.au/auditors_responsibilities/ar4.pdf.

The description forms part of my auditor's report.

My opinion does not provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the best practice management disclosures in Notes 2 and 3 of the financial statements
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Steven Martin
Assistant Auditor-General, Financial Audit

29 November 2017
SYDNEY

Hilltops Council

SPECIAL SCHEDULES

for the period 13 May 2016 to 30 June 2017



Hilltops Council

Special Schedules

for the period 13 May 2016 to 30 June 2017

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¹ Special Schedules are not audited (with the exception of Special Schedule 8).

Background

- (i) These Special Schedules have been designed to meet the requirements of special purpose users such as;
 - the NSW Grants Commission
 - the Australian Bureau of Statistics (ABS),
 - the NSW Office of Water (NOW), and
 - the Office of Local Government (OLG).
- (ii) The financial data is collected for various uses including;
 - the allocation of Financial Assistance Grants,
 - the incorporation of Local Government financial figures in national statistics,
 - the monitoring of loan approvals,
 - the allocation of borrowing rights, and
 - the monitoring of the financial activities of specific services.

Hilltops Council

Special Schedule 1 – Net Cost of Services

for the period 13 May 2016 to 30 June 2017

\$'000

Function or activity	Expenses from continuing operations	Income from continuing operations		Net cost of services
		Non-capital	Capital	
Governance	1,129	–	–	(1,129)
Administration	6,740	6,224	15,479	14,963
Public order and safety				
Fire service levy, fire protection, emergency services	1,281	667	31	(583)
Beach control	–	–	–	–
Enforcement of local government regulations	42	–	–	(42)
Animal control	126	73	–	(53)
Other	–	–	–	–
Total public order and safety	1,449	740	31	(678)
Health	475	99	–	(376)
Environment				
Noxious plants and insect/vermin control	249	–	–	(249)
Other environmental protection	201	9	–	(192)
Solid waste management	10,417	5,595	–	(4,822)
Street cleaning	262	–	–	(262)
Drainage	189	115	–	(74)
Stormwater management	307	4	–	(303)
Total environment	11,625	5,723	–	(5,902)
Community services and education				
Administration and education	–	–	–	–
Social protection (welfare)	–	–	–	–
Aged persons and disabled	86	8	–	(78)
Children's services	197	8	–	(189)
Total community services and education	283	16	–	(267)
Housing and community amenities				
Public cemeteries	519	308	–	(211)
Public conveniences	249	–	–	(249)
Street lighting	294	99	–	(195)
Town planning	1,047	745	–	(302)
Other community amenities	13	–	–	(13)
Total housing and community amenities	2,122	1,152	–	(970)
Water supplies	8,587	7,825	104	(658)
Sewerage services	16,816	3,603	659	(12,554)

Hilltops Council

Special Schedule 1 – Net Cost of Services (continued)

for the period 13 May 2016 to 30 June 2017

\$'000

Function or activity	Expenses from continuing operations	Income from continuing operations		Net cost of services
		Non-capital	Capital	
Recreation and culture				
Public libraries	1,013	465	–	(548)
Museums	4	–	–	(4)
Art galleries	–	–	–	–
Community centres and halls	478	21	–	(457)
Performing arts venues	–	–	–	–
Other performing arts	–	–	–	–
Other cultural services	187	65	–	(122)
Sporting grounds and venues	1,512	357	508	(647)
Swimming pools	1,357	395	–	(962)
Parks and gardens (lakes)	1,318	–	–	(1,318)
Other sport and recreation	–	3	–	3
Total recreation and culture	5,869	1,306	508	(4,055)
Fuel and energy	–	–	–	–
Agriculture	–	–	–	–
Mining, manufacturing and construction				
Building control	396	474	–	78
Other mining, manufacturing and construction	169	9	–	(160)
Total mining, manufacturing and const.	565	483	–	(82)
Transport and communication				
Urban roads (UR) – local	1,191	42	–	(1,149)
Urban roads – regional	–	–	–	–
Sealed rural roads (SRR) – local	7,673	4,850	–	(2,823)
Sealed rural roads (SRR) – regional	3,587	1,446	1,940	(201)
Unsealed rural roads (URR) – local	6,734	1,264	–	(5,470)
Unsealed rural roads (URR) – regional	–	–	–	–
Bridges on UR – local	334	–	–	(334)
Bridges on SRR – local	205	–	–	(205)
Bridges on URR – local	–	–	–	–
Bridges on regional roads	135	–	–	(135)
Parking areas	–	–	–	–
Footpaths	189	58	21	(110)
Aerodromes	36	–	–	(36)
Other transport and communication	465	–	–	(465)
Total transport and communication	20,549	7,660	1,961	(10,928)
Economic affairs				
Camping areas and caravan parks	196	217	–	21
Other economic affairs	7,211	7,027	–	(184)
Total economic affairs	7,407	7,244	–	(163)
Totals – functions	83,616	42,075	18,742	(22,799)
General purpose revenues ⁽¹⁾		24,566		24,566
Share of interests – joint ventures and associates using the equity method	–	–		–
NET OPERATING RESULT ⁽²⁾	83,616	66,641	18,742	1,767

(1) Includes: rates and annual charges (including ex gratia, excluding water and sewer), non-capital general purpose grants, interest on investments (excluding externally restricted assets) and interest on overdue rates and annual charges (2) As reported in the Income Statement

Hilltops Council

Special Schedule 2(a) – Statement of Long Term Debt (all purpose)

for the period 13 May 2016 to 30 June 2017

\$'000

Classification of debt	Principal outstanding at beginning of the year (former Councils)			New loans raised during the year	Debt redemption during the year		Transfers to sinking funds	Interest applicable for year	Principal outstanding at the end of the year		
	Current	Non-current	Total		From revenue	Sinking funds			Current	Non-current	Total
Loans (by source)											
Commonwealth Government	–	–	–							–	–
NSW Treasury Corporation	–	–	–							–	–
Other State Government	–	–	–							–	–
Public subscription	–	–	–							–	–
Financial institutions	2,204	15,417	17,621	3,800	2,428	–	–	1,149	1,572	17,421	18,993
Other	–	–	–							–	–
Total loans	2,204	15,417	17,621	3,800	2,428	–	–	1,149	1,572	17,421	18,993
Other long term debt											
Ratepayers advances	–	–	–							–	–
Government advances	–	–	–							–	–
Finance leases	–	–	–							–	–
Deferred payments	–	–	–							–	–
Total long term debt	–	–	–	–	–	–	–	–	–	–	–
Total debt	2,204	15,417	17,621	3,800	2,428	–	–	1,149	1,572	17,421	18,993

Notes: excludes (i) internal loans and (ii) principal inflows/outflows relating to loan re-financing.

This schedule is prepared using the **face value** of debt obligations, rather than **fair value** (which are reported in the GPFS).

Hilltops Council

Special Schedule 3 – Water Supply Income Statement

Includes all internal transactions, i.e. prepared on a gross basis
for the period 13 May 2016 to 30 June 2017

\$'000	Actuals 13/5/16 to 30/6/17
A Expenses and income Expenses	
1. Management expenses	
a. Administration	519
b. Engineering and supervision	332
2. Operation and maintenance expenses	
– dams and weirs	
a. Operation expenses	15
b. Maintenance expenses	(43)
– Mains	
c. Operation expenses	–
d. Maintenance expenses	555
– Reservoirs	
e. Operation expenses	228
f. Maintenance expenses	19
– Pumping stations	
g. Operation expenses (excluding energy costs)	–
h. Energy costs	55
i. Maintenance expenses	1
– Treatment	
j. Operation expenses (excluding chemical costs)	–
k. Chemical costs	39
l. Maintenance expenses	187
– Other	
m. Operation expenses	143
n. Maintenance expenses	13
o. Purchase of water	4,050
3. Depreciation expenses	
a. System assets	1,586
b. Plant and equipment	8
4. Miscellaneous expenses	
a. Interest expenses	2
b. Revaluation decrements	372
c. Other expenses	140
d. Impairment – system assets	–
e. Impairment – plant and equipment	–
f. Aboriginal Communities Water and Sewerage Program	–
g. Tax equivalents dividends (actually paid)	–
5. Total expenses	8,221

Hilltops Council

Special Schedule 3 – Water Supply Income Statement (continued)

Includes all internal transactions, i.e. prepared on a gross basis
for the period 13 May 2016 to 30 June 2017

	Actuals 13/5/16 to 30/6/17
\$'000	
Income	
6. Residential charges	
a. Access (including rates)	2,300
b. Usage charges	3,744
7. Non-residential charges	
a. Access (including rates)	268
b. Usage charges	800
8. Extra charges	19
9. Interest income	234
10. Other income	77
10a. Aboriginal Communities Water and Sewerage Program	–
11. Grants	
a. Grants for acquisition of assets	–
b. Grants for pensioner rebates	76
c. Other grants	7
12. Contributions	
a. Developer charges	135
b. Developer provided assets	–
c. Other contributions	–
13. Total income	7,660
14. Gain (or loss) on disposal of assets	–
15. Operating result	(561)
15a. Operating result (less grants for acquisition of assets)	(561)

Hilltops Council

Special Schedule 3 – Water Supply Income Statement (continued)

Includes all internal transactions, i.e. prepared on a gross basis
for the period 13 May 2016 to 30 June 2017

	Actuals 13/5/16 to 30/6/17
\$'000	
B Capital transactions	
Non-operating expenditures	
16. Acquisition of fixed assets	
a. New assets for improved standards	6
b. New assets for growth	–
c. Renewals	424
d. Plant and equipment	–
17. Repayment of debt	–
18. Totals	430
Non-operating funds employed	
19. Proceeds from disposal of assets	–
20. Borrowing utilised	–
21. Totals	–
C Rates and charges	
22. Number of assessments	
a. Residential (occupied)	1,288
b. Residential (unoccupied, ie. vacant lot)	108
c. Non-residential (occupied)	550
d. Non-residential (unoccupied, ie. vacant lot)	30
23. Number of ETs for which developer charges were received	ET
24. Total amount of pensioner rebates (actual dollars)	\$ 39,509

Hilltops Council

Special Schedule 4 – Water Supply Statement of Financial Position

Includes internal transactions, i.e. prepared on a gross basis
as at 30 June 2017

\$'000	Actuals Current	Actuals Non-current	Actuals Total
ASSETS			
25. Cash and investments			
a. Developer charges	–	–	–
b. Special purpose grants	–	–	–
c. Accrued leave	–	–	–
d. Unexpended loans	–	–	–
e. Sinking fund	518	–	518
f. Other	8,852	–	8,852
26. Receivables			
a. Specific purpose grants	–	–	–
b. Rates and availability charges	348	–	348
c. User charges	903	–	903
d. Other	–	–	–
27. Inventories	–	–	–
28. Property, plant and equipment			
a. System assets	–	40,455	40,455
b. Plant and equipment	–	495	495
29. Other assets	–	–	–
30. Total assets	10,621	40,950	51,571
LIABILITIES			
31. Bank overdraft	–	–	–
32. Creditors	100	–	100
33. Borrowings	–	–	–
34. Provisions			
a. Tax equivalents	–	–	–
b. Dividend	–	–	–
c. Other	81	–	81
35. Total liabilities	181	–	181
36. NET ASSETS COMMITTED	10,440	40,950	51,390
EQUITY			
37. Accumulated surplus			42,645
38. Asset revaluation reserve			8,745
39. Other reserves			–
40. TOTAL EQUITY			51,390
Note to system assets:			
41. Current replacement cost of system assets			70,233
42. Accumulated current cost depreciation of system assets			(29,778)
43. Written down current cost of system assets			40,455

Hilltops Council

Special Schedule 5 – Sewerage Service Income Statement

Includes all internal transactions, i.e. prepared on a gross basis
for the period 13 May 2016 to 30 June 2017

\$'000	Actuals 13/5/16 to 30/6/17
A Expenses and income Expenses	
1. Management expenses	
a. Administration	227
b. Engineering and supervision	328
2. Operation and maintenance expenses	
– mains	
a. Operation expenses	34
b. Maintenance expenses	12
– Pumping stations	
c. Operation expenses (excluding energy costs)	–
d. Energy costs	25
e. Maintenance expenses	795
– Treatment	
f. Operation expenses (excl. chemical, energy, effluent and biosolids management costs)	123
g. Chemical costs	–
h. Energy costs	1
i. Effluent management	4
j. Biosolids management	–
k. Maintenance expenses	216
– Other	
l. Operation expenses	46
m. Maintenance expenses	–
3. Depreciation expenses	
a. System assets	1,279
b. Plant and equipment	13
4. Miscellaneous expenses	
a. Interest expenses	707
b. Revaluation decrements	12,678
c. Other expenses	330
d. Impairment – system assets	–
e. Impairment – plant and equipment	–
f. Aboriginal Communities Water and Sewerage Program	–
g. Tax equivalents dividends (actually paid)	–
5. Total expenses	16,818

Hilltops Council

Special Schedule 5 – Sewerage Service Income Statement (continued)

Includes all internal transactions, i.e. prepared on a gross basis
for the period 13 May 2016 to 30 June 2017

	Actuals 13/5/16 to 30/6/17
\$'000	
Income	
6. Residential charges (including rates)	3,846
7. Non-residential charges	
a. Access (including rates)	50
b. Usage charges	98
8. Trade waste charges	
a. Annual fees	16
b. Usage charges	3
c. Excess mass charges	–
d. Re-inspection fees	–
9. Extra charges	1
10. Interest income	173
11. Other income	15
11a. Aboriginal Communities Water and Sewerage Program	–
12. Grants	
a. Grants for acquisition of assets	581
b. Grants for pensioner rebates	64
c. Other grants	–
13. Contributions	
a. Developer charges	–
b. Developer provided assets	73
c. Other contributions	–
14. Total income	4,920
15. Gain (or loss) on disposal of assets	–
16. Operating result	(11,898)
16a. Operating result (less grants for acquisition of assets)	(12,479)

Hilltops Council

Special Schedule 5 – Sewerage Service Income Statement (continued)

Includes all internal transactions, i.e. prepared on a gross basis
for the period 13 May 2016 to 30 June 2017

	Actuals 13/5/16 to 30/6/17
\$'000	
B Capital transactions	
Non-operating expenditures	
17. Acquisition of fixed assets	
a. New assets for improved standards	—
b. New assets for growth	—
c. Renewals	13
d. Plant and equipment	—
18. Repayment of debt	—
19. Totals	13
Non-operating funds employed	
20. Proceeds from disposal of assets	—
21. Borrowing utilised	—
22. Totals	—
C Rates and charges	
23. Number of assessments	
a. Residential (occupied)	849
b. Residential (unoccupied, ie. vacant lot)	65
c. Non-residential (occupied)	152
d. Non-residential (unoccupied, ie. vacant lot)	
24. Number of ETs for which developer charges were received	ET
25. Total amount of pensioner rebates (actual dollars)	\$ 28,520

Hilltops Council

Special Schedule 6 – Sewerage Service Statement of Financial Position

Includes internal transactions, i.e. prepared on a gross basis
as at 30 June 2017

\$'000	Actuals Current	Actuals Non-current	Actuals Total
ASSETS			
26. Cash and investments			
a. Developer charges	—	—	—
b. Special purpose grants	—	—	—
c. Accrued leave	—	—	—
d. Unexpended loans	—	—	—
e. Sinking fund	985	—	985
f. Other	6,417	—	6,417
27. Receivables			
a. Specific purpose grants	—	—	—
b. Rates and availability charges	352	—	352
c. User charges	18	—	18
d. Other	85	—	85
28. Inventories	—	—	—
29. Property, plant and equipment			
a. System assets	—	41,150	41,150
b. Plant and equipment	—	1,033	1,033
30. Other assets	—	—	—
31. Total assets	7,857	42,183	50,040
LIABILITIES			
32. Bank overdraft	—	—	—
33. Creditors	111	—	111
34. Borrowings	—	12,648	12,648
35. Provisions			
a. Tax equivalents	—	—	—
b. Dividend	—	—	—
c. Other	50	—	50
36. Total liabilities	161	12,648	12,809
37. NET ASSETS COMMITTED	7,696	29,535	37,231
EQUITY			
38. Accumulated surplus			31,700
39. Asset revaluation reserve			5,531
40. Other reserves			—
41. TOTAL EQUITY			37,231
Note to system assets:			
42. Current replacement cost of system assets			69,275
43. Accumulated current cost depreciation of system assets			(28,125)
44. Written down current cost of system assets			41,150

Hilltops Council

Notes to Special Schedules 3 and 5 for the period 13 May 2016 to 30 June 2017

Administration ⁽¹⁾

(item 1a of Special Schedules 3 and 5) comprises the following:

- Administration staff:
 - Salaries and allowance
 - Travelling expenses
 - Accrual of leave entitlements
 - Employment overheads.
- Meter reading
- Bad and doubtful debts
- Other administrative/corporate support services

Engineering and supervision ⁽¹⁾

(item 1b of Special Schedules 3 and 5) comprises the following:

- Engineering staff:
 - Salaries and allowance
 - Travelling expenses
 - Accrual of leave entitlements
 - Employment overheads.
- Other technical and supervision staff:
 - Salaries and allowance
 - Travelling expenses
 - Accrual of leave entitlements
 - Employment overheads.

Operational expenses (item 2 of Special Schedules 3 and 5) comprise the day to day operational expenses excluding maintenance expenses.

Maintenance expenses (item 2 of Special Schedules 3 and 5) comprise the day to day repair and maintenance expenses. (Refer to Section 5 of the Local Government Asset Accounting Manual regarding capitalisation principles and the distinction between capital and maintenance expenditure).

Other expenses (item 4c of Special Schedules 3 and 5) includes all expenses not recorded elsewhere.

Revaluation decrements (item 4b of Special Schedules 3 and 5) is to be used when I,PP&E decreases in FV.

Impairment losses (item 4d and 4e of Special Schedules 3 and 5) are to be used when the carrying amount of an asset exceeds its recoverable amount (refer to page D-31).

Aboriginal Communities Water and Sewerage Program (item 4f of Special Schedules 3 and 5) is to be used when operation and maintenance work has been undertaken on behalf of the Aboriginal Communities Water and Sewerage Program. Similarly, income for item 11a of Special Schedule 3 and item 12a of Special Schedule 5 are for services provided to the Aboriginal Communities Water and Sewerage Program and is not part of Council's water supply and sewerage revenue.

Residential charges ⁽²⁾ (items 6a, 6b and item 6 of Special Schedules 3 and 5 respectively) include all income from residential charges. Item 6 of Schedule 3 should be separated into 6a access charges (including rates if applicable) and 6b usage charges.

Non-residential charges ⁽²⁾ (items 7a, 7b of Special Schedules 3 and 5) include all income from non-residential charges separated into 7a access charges (including rates if applicable) and 7b usage charges.

Trade waste charges (item 8 of Special Schedule 5) include all income from trade waste charges separated into 8a annual fees, 8b usage charges and 8c excess mass charges and 8d re-inspection fees.

Other income (items 10 and 11 of Special Schedules 3 and 5 respectively) include all income not recorded elsewhere.

Other contributions (items 12c and 13c of Special Schedules 3 and 5 respectively) including capital contributions for water supply or sewerage services received by Council under Section 565 of the *Local Government Act*.

Notes:

⁽¹⁾ Administration and engineering costs for the development of capital works projects should be reported as part of the capital cost of the project and not as part of the recurrent expenditure (ie. in item 16 for water supply and item 17 for sewerage, and **not** in items 1a and 1b).

⁽²⁾ To enable accurate reporting of **residential revenue from usage charges**, it is essential for councils to accurately separate their residential (item 6) charges and non-residential (item 7) charges.

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets as at 30 June 2017

\$'000

Asset class	Asset category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2016/17 Required maintenance ^a	2016/17 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
								1	2	3	4	5
Buildings	Administration	–	–	81	105	12,059	18,067	70%	10%	20%	0%	0%
	Buildings – non-specialised	225	8	36	42	2,537	4,357	21%	38%	28%	12%	1%
	Buildings – Commercial	541	23	27	18	3,657	9,593	9%	26%	45%	19%	1%
	Works Depot	400	144	40	43	1,718	5,028	18%	17%	44%	7%	14%
	Public Halls	1,683	–	91	96	4,509	16,096	3%	37%	21%	39%	0%
	Library	260	–	16	12	848	2,782	1%	16%	37%	46%	0%
	Cultural Facilities	842	100	18	10	1,461	4,883	3%	0%	21%	66%	10%
	Sporting Facilities	312	45	64	156	8,271	17,735	5%	43%	44%	6%	2%
	Child Care	–	–	2	12	2,396	4,064	0%	100%	0%	0%	0%
	Medical Centre	–	–	72	51	2,871	3,138	100%	0%	0%	0%	0%
	Aged Care Facilities	–	–	–	–	725	1,456	100%	0%	0%	0%	0%
	Caravan Park	–	–	3	29	417	686	23%	0%	77%	0%	0%
	Emergency Services	11	–	39	5	2,270	3,629	18%	49%	31%	2%	0%
	Sewer Buildings	25	11	3	10	293	386	0%	0%	95%	5%	0%
	Other	104	31	104	12	497	1,537	33%	19%	24%	14%	10%
	Sub-total	4,403	362	596	601	44,529	93,437	24.4%	28.9%	28.9%	15.9%	2.0%
Other structures	Other structures	1,512	607	85	125	3,557	7,547	22%	10%	7%	20%	41%
	SWRWMG	–	–	1	–	176	195	100%	0%	0%	0%	0%
	Sub-total	1,512	607	86	125	3,733	7,742	24.0%	9.7%	6.8%	19.5%	40.0%

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets as at 30 June 2017 (continued)

\$'000

Asset class	Asset category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2016/17 Required maintenance ^a	2016/17 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
								1	2	3	4	5
Roads	Sealed Roads Surface	3,446	698	1,392	2,461	83,641	109,552	24%	44%	20%	9%	3%
	Road Pavement	3,402	564	1,955	2,691	120,125	174,357	14%	42%	36%	7%	1%
	Bridges	283	–	735	71	27,261	51,729	8%	21%	68%	3%	0%
	Footpaths	99	10	51	46	5,266	7,372	25%	26%	43%	5%	1%
	Kerb & Gutter	99	–	125	63	7,935	15,491	27%	20%	50%	3%	0%
	Bulk earthworks	325	65	475	–	95,290	95,290	67%	9%	23%	1%	0%
	Causeways	8	–	12	–	361	828	3%	21%	71%	5%	0%
	Culverts	319	–	306	–	13,311	24,845	4%	62%	29%	5%	0%
	Street Furniture	–	–	58	–	3,229	4,100	14%	86%	0%	0%	0%
	Other	–	–	–	–	772	1,295	0%	0%	0%	0%	100%
	Sub-total	7,981	1,337	5,109	5,332	357,191	484,859	26.0%	34.0%	33.1%	5.5%	1.3%
Water supply network	Water Supply network	1,817	592	518	646	28,571	47,807	11%	43%	37%	3%	6%
	Reservoirs	3,232	1,616	85	58	4,598	9,706	21%	7%	22%	26%	24%
	Pump Stations	3,156	1,578	42	7	4,900	8,686	2%	7%	2%	4%	85%
	Other	26	13	79	24	2,385	3,792	8%	13%	64%	15%	0%
	Sub-total	8,231	3,799	724	735	40,454	69,991	11.1%	31.9%	32.0%	7.0%	18.0%
Sewerage network	Sewerage network	45	18	239	71	23,422	38,327	25%	24%	41%	0%	10%
	Treatment Plant	2,450	1,225	369	356	11,991	19,059	63%	0%	5%	0%	32%
	Pump Stations	194	76	44	61	856	1,927	4%	10%	58%	8%	20%
	Reclaimed Water	532	266	120	21	4,881	6,578	75%	5%	0%	0%	20%
	Sub-total	3,221	1,585	772	509	41,150	65,891	40.4%	14.8%	27.0%	0.2%	17.7%

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets as at 30 June 2017 (continued)

\$'000

Asset class	Asset category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2016/17 Required maintenance ^a	2016/17 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
								1	2	3	4	5
Stormwater drainage	Stormwater drainage	163	145	40	377	9,312	24,489	29%	6%	62%	3%	0%
	Stormwater Pits	18	18	59	–	1,628	2,728	61%	14%	22%	3%	0%
	Stormwater Headwalls	23	23	1	–	549	728	65%	7%	12%	16%	0%
	Pollutant Traps	–	–	5	–	147	156	100%				0%
	Other	–	–	14	–	164	299	100%				0%
	Sub-total	204	186	119	377	11,800	28,400	34.1%	6.7%	55.9%	3.3%	0.0%
Open space/recreational assets	Swimming pools	1,092	292	425	96	4,390	8,070	31%	1%	34%	16%	18%
	Other	132	–	209	90	6,278	10,028	21%	55%	20%	4%	0%
	Sub-total	1,224	292	634	186	10,668	18,098	25.5%	30.9%	26.2%	9.4%	8.0%
	TOTAL – ALL ASSETS	26,776	8,168	8,040	7,865	509,525	768,418	26.0%	30.2%	32.4%	6.6%	4.8%

Notes:

a Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

1	Excellent	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Average	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets (continued)

for the period 13 May 2016 to 30 June 2017

\$ '000	Amounts 2017	Indicator 2017
Infrastructure asset performance indicators * consolidated		
1. Infrastructure renewals ratio		
Asset renewals ⁽¹⁾	12,069	78.57%
Depreciation, amortisation and impairment	15,360	
2. Infrastructure backlog ratio		
Estimated cost to bring assets to a satisfactory standard	26,776	6.46%
Net carrying amount of infrastructure assets	414,295	
3. Asset maintenance ratio		
Actual asset maintenance	7,865	0.98
Required asset maintenance	8,040	
4. Cost to bring assets to agreed service level		
Estimated cost to bring assets to an agreed service level set by Council	8,168	1.06%
Gross replacement cost	768,418	

Notes

* All asset performance indicators are calculated using the asset classes identified in the previous table.

⁽¹⁾ Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets (continued)

for the period 13 May 2016 to 30 June 2017

\$ '000	Water 2017	Sewer 2017	General ⁽¹⁾ 2017
Infrastructure asset performance indicators by fund			
1. Infrastructure renewals ratio			
Asset renewals ⁽²⁾	47.14%	327.74%	57.25%
Depreciation, amortisation and impairment			
2. Infrastructure backlog ratio			
Estimated cost to bring assets to a satisfactory standard	20.35%	7.83%	4.61%
Net carrying amount of infrastructure assets			
3. Asset maintenance ratio			
Actual asset maintenance	1.02	0.66	1.01
Required asset maintenance			
4. Cost to bring assets to agreed service level			
Estimated cost to bring assets to agreed service level set by Council	5.43%	2.41%	0.44%
Gross replacement cost			

Notes

- ⁽¹⁾ General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.
- ⁽²⁾ Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Hilltops Council

Special Schedule 8 – Permissible Income Calculation

for the year ended 30 June 2018

\$'000		Calculation 2017/18	Calculation 2017/18	Calculation 2017/18	Calculation 2017/18
		Former Boorowa Council	Former Harden Shire Council	Former Young Shire Council	Total
Notional general income calculation ⁽¹⁾					
Last year notional general income yield	a	2,479	2,884	7,054	12,417
Plus or minus adjustments ⁽²⁾	b	17	(18)	52	51
Notional general income	c = (a + b)	2,496	2,866	7,106	12,468
Permissible income calculation					
Special variation percentage ⁽³⁾	d	0.00%	0.00%	0.00%	–
Or rate peg percentage	e	1.50%	1.50%	1.50%	1.50%
Or crown land adjustment (incl. rate peg percentage)	f	0.00%	0.00%	0.00%	–
Less expiring special variation amount	g	–	–	–	–
Plus special variation amount	h = d x (c – g)	–	–	–	–
Or plus rate peg amount	i = c x e	37	43	107	187
Or plus Crown land adjustment and rate peg amount	j = c x f	–	–	–	–
Sub-total	k = (c + g + h + i + j)	2,533	2,909	7,213	12,655
Plus (or minus) last year's carry forward total	l	–	(5)	38	33
Less valuation objections claimed in the previous year	m	–	–	–	–
Sub-total	n = (l + m)	–	(5)	38	33
Total permissible income	o = k + n	2,533	2,904	7,251	12,688
Less notional general income yield	p	2,530	2,907	7,351	12,788
Catch-up or (excess) result	q = o – p	3	(3)	(100)	(100)
Plus income lost due to valuation objections claimed ⁽⁴⁾	r	–	–	–	–
Less unused catch-up ⁽⁵⁾	s	–	–	–	–
Carry forward to next year	t = q + r – s	3	(3)	(100)	(100)

Hilltops Council

Special Schedule 8 – Permissible Income Calculation (continued) for the year ended 30 June 2018

\$'000

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the *Valuation of Land Act 1916*.
- (3) The 'special variation percentage' is inclusive of the rate peg percentage and where applicable Crown land adjustment.
- (4) Valuation objections are unexpected changes in land values as a result of land owners successfully objecting to the land value issued by the Valuer-General. Councils can claim the value of the income lost due to valuation objections in any single year.
- (5) Unused catch-up amounts will be deducted if they are not caught up within 2 years. Usually councils will have a nominal carry forward figure. These amounts can be adjusted for in setting the rates in a future year.
- (6) Carry forward amounts which are in excess (an amount that exceeds the permissible income) require ministerial approval by order published in the NSW Government Gazette in accordance with section 512 of the *Local Government Act 1993*. The OLG will extract these amounts from Council's Special Schedule 8 in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule No. 8

Hilltops Council

To the Councillors of Hilltops Council

Opinion

I have audited the accompanying special purpose financial statement comprising the reconciliation of total permissible general income (Special Schedule No. 8) of Hilltops Council (the Council) for the year ending 30 June 2018.

In my opinion, Special Schedule No. 8 of Hilltops Council for 30 June 2018 is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting (LG Code) issued by the Office of Local Government (OLG), and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report, and in particular the Emphasis of Matter paragraph, which describes the basis of accounting.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of Special Schedule No.8' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- ethical requirements of the Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the notes and explanations in Special Schedule No. 8 that instruct councils in its preparation so it complies with OLG's requirements as described in the LG Code. As a result, Special Schedule No. 8 may not be suitable for another purpose.

Councillors' Responsibility for Special Schedule No. 8

The Councillors of the Council are responsible for the preparation of Special Schedule No. 8 in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of Special Schedule No. 8 that is free from material misstatement, whether due to fraud or error.

In preparing Special Schedule No.8, the Councillors must assess the Council's ability to continue as a going concern except where the Council will be dissolved or amalgamated by an Act of Parliament. The assessment must disclose, as applicable, matters related to going concern and the appropriateness of using the going concern basis of accounting.

Auditor's Responsibility for the Audit of Special Schedule No. 8

My objectives are to:

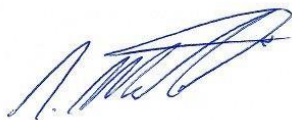
- obtain reasonable assurance whether Special Schedule No. 8 as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on Special Schedule No.8.

A description of my responsibilities for the audit of Special Schedule No.8 is located at the Auditing and Assurance Standards Board website at http://www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

My opinion does not provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Special Schedule No.8 on any website where they may be presented
- about any other information which may have been hyperlinked to/from Special Schedule No 8.



Steven Martin
Assistant Auditor-General, Financial Audit

29 November 2017
SYDNEY